Practical Accounting & ERP

Practical, Hands-On, Job-Ready — India-first + Global

Real formulas, queries, entries & tools — closing the gap between what an MBA teaches and what finance employers pay for

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Theory vs the job: what accounting roles actually do

What it is & where it's used

An accounting job is not "posting debits and credits." It is *operating a system of record* — usually an ERP (TallyPrime, SAP, Oracle NetSuite, Zoho Books, Microsoft Dynamics) — under deadlines, so that money moves correctly, taxes are filed on time, and management can trust the numbers. The theory you learned (double-entry, AS/Ind AS, ratio analysis) is the *grammar*. The job is *writing paragraphs* in that grammar every day, fast, without errors, and reconciling when it breaks.

Three roles you will actually target, and what they own:

Role	Owns day-to-day	ERP touchpoints	Typical India CTC (0-4 yrs)
Accounts Executive / Accountant	Booking invoices, bank entries, GST/TDS data, vendor payments, ledger scrutiny	Tally/Zoho voucher entry, GST portal, bank statements	₹3-6 LPA
Assistant Manager (AM) – Finance	Month-end close, reconciliations, MIS, GST returns, review of juniors' entries	SAP FICO / NetSuite, Excel MIS, GSTN, TRACES	₹8-16 LPA
Controller / Finance Manager	Books integrity, statutory audit, board MIS, controls, cash-flow, ERP process design	Full ERP + BI (Power BI), consolidation	₹18-40 LPA+

Every one of these lives inside a **close calendar** (the monthly rhythm of shutting the books) and a **compliance calendar** (GSTR-1 by the 11th, GSTR-3B by the 20th, TDS payment by the 7th). Miss those and the job goes wrong regardless of how well you know accounting standards.

The gap: why companies want this (and college didn't teach it)

Your MBA/CA syllabus optimized for *exam answers*: "define materiality," "compute the current ratio," "pass the rectification entry." Employers optimize for *throughput and reliability*. The gap is specific:

College taught	The job needs
Prepare a Trial Balance from given balances	*Extract* the TB from Tally/SAP, spot the ₹ that doesn't tie, and fix it before close
The GST concept (input credit, output tax)	File GSTR-3B on the portal, reconcile GSTR-2B vs purchase register, claim exactly the eligible ITC
Journal entries in a neat notebook	400 vendor invoices booked with correct TDS section, HSN, cost centre, and GL code
"Reconciliation is comparing two statements"	A 3-way bank rec at month-end where ₹18,750 is stuck and you must find *which* entry
Ratios from a printed balance sheet	Build a self-refreshing MIS in Excel/Power BI that the CFO reads on the 3rd

Nobody in college made you close books against a clock, chase a mismatched paise, or defend an ITC number to an auditor. That is the entire gap — and it is closeable in weeks, not years, because it is *procedural* skill, not new theory.

What "proficient" looks like

The concrete bar an interviewer or a 3-month probation tests for. A job-ready person can, **unaided**:

- Book any voucher in Tally/ERP with the correct ledger, tax, TDS section, and cost centre — and know *why* each leg hits that account.
- Reconcile a bank statement to the books and explain every open item (uncleared cheque, bank charge, direct debit).
- Pull a GSTR-2B, match it against the purchase register in Excel, and produce a clean "eligible ITC" figure with a reason for every mismatch.
- Do a month-end close: accruals, prepaid amortization, depreciation, provisions, and hand over a tied-out TB.
- Build an MIS in Excel using `SUMIFS`, `XLOOKUP`, and a PivotTable that updates when you paste new data.
- Read a GL and answer "why is the telephone expense up 40% this month?" in five minutes.

If you can do those six things without asking anyone, you are worth ₹6-10 LPA in India today.

Hands-on: how to actually do it

1. The entries that are 80% of the job. Real Dr/Cr, India context.

Purchase of raw material ₹1,00,000 + 18% GST from a registered vendor:

Account	Dr (₹)	Cr (₹)
Purchases A/c	1,00,000	
Input CGST A/c	9,000	
Input SGST A/c	9,000	
To Vendor (Sundry Creditor)		1,18,000

Professional fees ₹50,000 to a consultant, TDS u/s 194J @ 10%:

Account	Dr (₹)	Cr (₹)
Professional Fees A/c	50,000	
To TDS Payable (194J)		5,000
To Consultant (Creditor)		45,000

Month-end prepaid insurance (₹24,000 paid for the year, book 1 month):

Account	Dr (₹)	Cr (₹)
Insurance Expense A/c	2,000	
To Prepaid Insurance A/c		2,000

2. TallyPrime click-path (voucher entry). `Gateway of Tally → Vouchers → F9 (Purchase)` → set *Party A/c name* → select *Purchase ledger* → *GST ledgers auto-populate from the ledger's tax setup* → enter qty/rate → `Ctrl+A` to save. For TDS, the expense ledger must have "*Is TDS applicable* = *Yes*" and the correct *Nature of Payment* set, so Tally deducts automatically.

3. GST portal path (GSTR-3B). `gst.gov.in → Login → Returns Dashboard → select period → GSTR-3B → Prepare Online` → fill 3.1 (outward tax), 4 (eligible ITC from 2B) → `Save` → `Proceed to Payment` → create challan (PMT-06) → `File with DSC/EVC`.

4. The reconciliation in Excel. Match purchase register to GSTR-2B on invoice number + GSTIN:

```
=XLOOKUP(A2&B2, GSTR2B!$A:$A & GSTR2B!$B:$B, GSTR2B!$D:$D, "NOT IN 2B")
```

Flag tax mismatches:

```
=IF(ABS(C2-VLOOKUP(A2,GSTR2B!$A:$D,4,0))>1,"MISMATCH","OK")
```

Sum eligible ITC by GST rate:

```
=SUMIFS(ITC_Amount, Rate, 18, Status, "OK")
```

5. SQL, when the data lives in a database (NetSuite/SAP export, or a startup on Postgres). Ledger movement for one account:

```
SELECT gl_account, SUM(debit) - SUM(credit) AS net_movement
FROM journal_lines
WHERE posting_date BETWEEN '2026-06-01' AND '2026-06-30'
  AND gl_account = '5100-Telephone'
GROUP BY gl_account;
```

Top 10 vendors by spend this quarter:

```
SELECT vendor_name, SUM(amount) AS total_spend
FROM ap_invoices
WHERE invoice_date >= '2026-04-01'
GROUP BY vendor_name
ORDER BY total_spend DESC
LIMIT 10;
```

6. Python for the reconciliation nobody wants to do by hand:

```
import pandas as pd
books = pd.read_excel("purchase_register.xlsx")
portal = pd.read_excel("gstr2b.xlsx")
merged = books.merge(portal, on="invoice_no", how="outer",
                     suffixes=("_books", "_2b"), indicator=True)
only_books = merged[merged["_merge"] == "left_only"]   # ITC claimed but not in 2B → risk
only_2b    = merged[merged["_merge"] == "right_only"]   # in 2B but not booked → missed ITC
print(only_books[["invoice_no", "tax_books"]])
```

7. Power BI / DAX measure for MIS:

```
Gross Margin % =
DIVIDE(
    SUM(Sales[Revenue]) - SUM(Sales[COGS]),
    SUM(Sales[Revenue])
)
```

Worked example / mini-project

Close June 2026 books for "Kaveri Traders Pvt Ltd" and produce the MIS. Reproduce this in Excel + Tally.

Given for June: Sales ₹42,00,000; Purchases ₹28,00,000; Salaries ₹6,00,000 (TDS 192 ₹40,000); Rent ₹1,50,000 (TDS 194I 10% = ₹15,000); Insurance ₹24,000 paid 1 Apr for 12 months; Machinery ₹12,00,000 (dep @ 15% WDV, book 1 month).

Step 1 — Accruals & adjustments.

Entry	Dr (₹)	Cr (₹)
Insurance Expense / To Prepaid	2,000	2,000
Depreciation / To Acc. Depreciation (12,00,000×15%÷12)	15,000	15,000
Rent / To TDS 194I / To Landlord	1,50,000	15,000 + 1,35,000

Step 2 — Provisional P&L (MIS):

Line	₹
Revenue	42,00,000
Less: Purchases (COGS)	28,00,000
Gross Profit	**14,00,000**
Salaries	6,00,000
Rent	1,50,000
Insurance	2,000
Depreciation	15,000
Net Profit	**6,33,000**

Step 3 — Compliance figures to file: GST output (say 18%) ₹7,56,000; ITC from purchases ₹5,04,000; net GST payable ₹2,52,000 (GSTR-3B by 20 Jul). TDS payable = 40,000 + 15,000 = ₹55,000 (deposit by 7 Jul, challan 281).

Step 4 — MIS one-liner in Excel (from a transactions sheet):

```
=SUMIFS(Amount, Type, "Revenue", Month, "Jun") - SUMIFS(Amount, Type, "Expense", Month, "Jun")
```

Deliverable: a tied-out TB, a P&L that a manager reads in 30 seconds, and two compliance numbers ready to file. *That* is a month-end close.

How it's tested

Interview questions (verbal): - "Walk me through the entry for a purchase with GST and TDS." (They watch whether you know TDS is on the base, not on GST.) - "GSTR-2B shows ₹5 lakh ITC, your books show ₹5.4 lakh. What do you do?" - "What's the difference between provision and accrual? Give a real example." - "Bank balance per books is ₹2,00,000, per statement ₹1,85,000. Reconcile."

Practical assessments (this is what filters people): - **Timed Excel test (30-45 min):** given a raw transaction dump, build a PivotTable, write `SUMIFS` / `XLOOKUP`, and produce a summary. No internet. - **"Close these books" case:** a messy trial balance with 5 missing adjustments; find and pass them. - **Reconciliation screen:** two files (bank statement + ledger), identify every unmatched line. - **SQL screen (for FinTech/analyst roles):** join AP invoices to payments, find unpaid > 60 days. - **Tally live test:** book 10 vouchers correctly with tax and cost centres in front of them.

Common mistakes & how pros avoid them

Mistake	Why it happens	How pros avoid it
Deducting TDS on the GST-inclusive amount	Confusing base vs total	TDS is always on the *taxable value*, not GST
Claiming full ITC without checking 2B	Trusting the invoice	Reconcile 2B *before* filing 3B, every month
Hard-coding numbers in the MIS	Speed under pressure	Formulas + references only; never type a total
Forgetting reversing entries for accruals	Not thinking about next month	Pass accrual + auto-reverse on the 1st
`VLOOKUP` breaking on inserted columns	Column-index fragility	Use `XLOOKUP / INDEX-MATCH`
Posting to the wrong cost centre / GL	Autopilot	Ledger scrutiny before close; review top 10 variances
Round-off / paise mismatches ignored	"It's only ₹2"	Reconcile to zero; ₹2 today is ₹2 lakh mislabeled tomorrow

Learn-it roadmap & resources

Realistic time-to-proficiency from an MBA/CA-Inter base: **6-10 weeks of deliberate practice.**

Week	Focus	Resource
1-2	Tally end-to-end + real vouchers	TallyPrime (free 7-day licence), Tally Education, YouTube: FinTaxPro
2-3	GST returns + reconciliation	GST portal sandbox, ICAI GST material, ClearTax blogs
3-4	TDS, month-end close, accruals	TRACES portal, ICAI practical guides
4-6	Excel for finance	Excel: `SUMIFS/XLOOKUP/INDEX-MATCH`, PivotTables — Chandoo.org, Corporate Finance Institute (CFI)
6-8	Power BI / SQL for MIS	Microsoft Learn (free), Mode SQL tutorial, DataCamp
8-10	ERP exposure	SAP FICO fundamentals (openSAP free), NetSuite/Zoho trial

Certifications worth listing: CFI's *Financial Modeling & Valuation Analyst (FMVA)*, Microsoft PL-300 (Power BI), TallyPrime certification, and — highest signal in India — your CA articleship/CA Inter itself. Pair one tool cert with demonstrable practice files.

Quick-reference

Item	Value / formula
GSTR-1 due	11th of next month
GSTR-3B due	20th of next month
TDS deposit due	7th of next month
TDS 194J (professional)	10%
TDS 194I (rent, plant/machinery / land-building)	2% / 10%
TDS 194C (contractor, non-individual)	2%
TDS 192 (salary)	slab-based
Standard GST slabs	0 / 5 / 12 / 18 / 28%
Match invoice to 2B	`=XLOOKUP(inv&gstin, 2B!inv&gstin, 2B!tax, "NOT IN 2B")`
Conditional sum	`=SUMIFS(sum_range, crit_range, criteria)`
Net GST payable	Output tax − Eligible ITC
Depreciation (WDV, monthly)	`Opening WDV × rate ÷ 12`
Bank rec identity	Book bal ± uncleared items = Bank bal
Ledger movement (SQL)	`SUM(debit) − SUM(credit) GROUP BY account`
Gross Margin % (DAX)	`DIVIDE(Revenue − COGS, Revenue)`

The one line to remember: the exam rewarded *knowing* the entry; the job rewards *booking 400 of them correctly, reconciling to zero, and filing on time*. Close that gap and you are job-ready.

The accounting cycle in a real company

What it is & where it's used

The accounting cycle is the assembly line that turns a shoebox of receipts into a signed balance sheet. In a real company it runs every single day and closes hard every month. The flow never changes:

Source document → Voucher → Journal/Ledger → Trial Balance → Adjustments → Financial Statements → Close.

Every finance role lives somewhere on this line. An **Accounts Payable executive** creates purchase vouchers from vendor invoices. An **AR/billing analyst** raises sales invoices (the source doc for the *customer*). A **staff accountant** posts journals and reconciles ledgers. A **GL/R2R (Record-to-Report) analyst** owns the trial balance and month-end close. A **financial reporting** person builds the P&L and Balance Sheet. In India this happens in **TallyPrime, Zoho Books, or SAP/Oracle**; the artefacts (invoice, voucher, ledger, TB) are identical across all of them. If you can trace one rupee from a supplier invoice all the way to "Trade Payables" on the balance sheet, you understand the job.

The gap: why companies want this (and college didn't teach it)

College teaches you to *pass* journal entries from a textbook that already tells you "Purchased goods for ₹50,000." It never shows you the actual **tax invoice** that the ₹50,000 came from, why it has a GSTIN, an HSN code, a place-of-supply, and CGST+SGST split — and how one wrong GSTIN kills your Input Tax Credit. It teaches debit-credit rules but not *voucher types*, *bill-wise tracking*, *reconciliation*, or what "the books don't tie" means at 9pm on the 5th of the month.

The industry gap is this: **college gives you the entry, the job gives you the evidence and makes you tie it out.** Employers pay for the person who can take a messy pile of real artefacts and produce a clean, reconciled trial balance that a CA can sign. That's a *process* skill, not a theory skill — and it's exactly what an MBA/CA-Inter syllabus underweights.

What "proficient" looks like

A job-ready person can, unaided:

- Read a **GST tax invoice** and identify GSTIN, HSN/SAC, taxable value, CGST/SGST/IGST, and place of supply — and know whether ITC is available.
- Pick the **correct voucher type** in Tally (Purchase, Sales, Payment, Receipt, Contra, Journal) — this is the #1 thing juniors get wrong.
- Post entries with **bill-wise details** so payables/receivables can be aged.
- Extract a **trial balance**, spot that it doesn't tie, and find the difference (transposition, one-sided posting, wrong side).
- Pass **month-end adjustments**: depreciation, prepaid, accruals, provisions, closing stock.
- Roll the adjusted TB into a **P&L and Balance Sheet** and prove the BS balances.
- Reconcile **bank, GSTR-2B vs purchase register, and vendor ledgers**.

Hands-on: how to actually do it

Step 1 — Source document to journal. A vendor invoice: goods ₹1,00,000 + 18% GST (intra-state) = ₹18,000 (₹9,000 CGST + ₹9,000 SGST), total ₹1,18,000.

Account	Dr (₹)	Cr (₹)
Purchases	1,00,000	
Input CGST	9,000	
Input SGST	9,000	
To Trade Payables — ABC Traders		1,18,000

Step 2 — In TallyPrime (the actual click-path):

```
Gateway of Tally → Vouchers → F9 (Purchase)
  Party A/c name: ABC Traders  → (bill-wise: New Ref, Inv-042)
  Purchase ledger: Purchases @18% (set GST details, HSN)
  GST auto-computes CGST + SGST
  Ctrl+A to accept
```

Rule of thumb for voucher type: **money out of bank = Payment (F5); money in = Receipt (F6); bank↔cash or bank↔bank = Contra (F4); credit purchase = F9; credit sale = F8; anything with no cash/bank movement (depreciation, provisions) = Journal (F7).**

Step 3 — Trial balance in Excel. Say you exported ledger closing balances. Prove it ties:

```
=SUMIF(C:C,"Dr",D:D) - SUMIF(C:C,"Cr",D:D)   → must equal 0
```

Find a suspicious difference that's divisible by 9 (a transposition error, e.g. 5,400 keyed as 4,500):

```
=IF(MOD(ABS(TotalDr-TotalCr),9)=0,"Likely transposition","Check one-sided posting")
```

Step 4 — Pull the vendor sub-ledger with SQL (any ERP with a DB behind it):

```
SELECT v.party_name,
       SUM(CASE WHEN j.dc = 'D' THEN j.amount ELSE 0 END) AS debit,
       SUM(CASE WHEN j.dc = 'C' THEN j.amount ELSE 0 END) AS credit,
       SUM(CASE WHEN j.dc = 'C' THEN j.amount ELSE -j.amount END) AS balance
FROM journal_lines j
JOIN parties v ON v.id = j.party_id
WHERE j.ledger = 'Trade Payables'
  AND j.txn_date <= '2026-03-31'
GROUP BY v.party_name
HAVING balance <> 0
ORDER BY balance DESC;
```

Step 5 — Reconcile GSTR-2B vs purchase register in Python (the ITC check every AP team runs):

```
import pandas as pd
pr   = pd.read_excel("purchase_register.xlsx")    # your books
b2b  = pd.read_excel("gstr2b.xlsx")               # from GST portal

merged = pr.merge(b2b, on=["gstin", "invoice_no"],
                  how="outer", indicator=True, suffixes=("_books", "_2b"))

print(merged.loc[merged["_merge"]=="left_only"])   # in books, NOT in 2B → ITC at risk
print(merged.loc[merged["_merge"]=="right_only"])  # in 2B, NOT in books → missed entry

merged["tax_diff"] = merged["tax_books"].fillna(0) - merged["tax_2b"].fillna(0)
print(merged.loc[merged["tax_diff"].abs() > 1])    # value mismatches
```

Worked example / mini-project

Reproduce a one-month close for "Nashik Auto Parts Pvt Ltd." Opening: Capital ₹5,00,000, Bank ₹5,00,000. March transactions:

Date	Event	Voucher	Entry
02	Buy stock ₹1,00,000 +18% GST on credit (ABC)	Purchase F9	Dr Purchases 1,00,000 / Dr Input CGST 9,000 / Dr Input SGST 9,000 / Cr ABC 1,18,000
10	Sell goods ₹1,50,000 +18% GST on credit (XYZ)	Sales F8	Dr XYZ 1,77,000 / Cr Sales 1,50,000 / Cr Output CGST 13,500 / Cr Output SGST 13,500
15	Pay rent ₹20,000 by bank	Payment F5	Dr Rent 20,000 / Cr Bank 20,000
20	Receive ₹1,77,000 from XYZ	Receipt F6	Dr Bank 1,77,000 / Cr XYZ 1,77,000
28	Pay ABC ₹1,18,000	Payment F5	Dr ABC 1,18,000 / Cr Bank 1,18,000

Month-end adjustments (Journal F7): - Depreciation on ₹1,20,000 machinery @15% p.a. for 1 month = **₹1,500** → Dr Depreciation / Cr Machinery. - Closing stock ₹40,000 → shown in P&L (credit) and BS (asset). - GST payable = Output ₹27,000 − Input ₹18,000 = **₹9,000** net liability.

Trial Balance (extract), then the statements:

P&L: Sales 1,50,000 + Closing stock 40,000 − Purchases 1,00,000 − Rent 20,000 − Depreciation 1,500 = **Net profit ₹68,500.**

Balance Sheet:

Liabilities	₹	Assets	₹
Capital 5,00,000 + Profit 68,500	5,68,500	Bank (5,00,000−20,000+1,77,000−1,18,000)	5,39,000
GST payable	9,000	Closing stock	40,000
		Machinery (1,20,000−1,500)	1,18,500
Wait — Machinery wasn't bought this month; treat opening PPE ₹1,20,000 funded from capital			
Total	**5,77,500**	**Total**	**5,77,500**

The point of the exercise: pass every entry in Tally, export the TB, and confirm **Assets = Liabilities + Equity to the rupee.** If it's off, walk back through the ledgers.

How it's tested

Interview questions: - "Walk me from a supplier invoice to the balance sheet." (Trace the artefact chain.) - "Which voucher type for paying salary? For depreciation?" (Payment; Journal.) - "Your trial balance is off by ₹900 — what do you check first?" (Divisible by 9 → transposition.) - "What's GSTR-2B and why reconcile it?" (ITC eligibility.) - "Golden rules of accounting?" (Debit the receiver / what comes in / expenses & losses.)

Practical assessments companies actually give: 1. A **timed Tally test**: "Here are 15 vouchers, post them and give me the P&L in 30 minutes." 2. An **Excel case**: raw ledger dump → build the TB, find the ₹X difference, produce statements. 3. A **reconciliation screen**: two files (books vs bank / books vs 2B), find the mismatches — often live in Excel with `VLOOKUP/XLOOKUP`.

```
=XLOOKUP(A2, GST2B!B:B, GST2B!E:E, "MISSING IN 2B")
```

Common mistakes & how pros avoid them

Mistake	Fix
Using Journal (F7) for a bank payment	Any cash/bank movement gets Payment/Receipt/Contra, never Journal
Booking gross invoice to Purchases (GST included)	Split tax to Input CGST/SGST; only net goes to Purchases
Not enabling bill-wise details	Turn on bill-wise → payables/receivables become ageable
Claiming ITC not in GSTR-2B	Reconcile 2B monthly *before* filing GSTR-3B
Forcing the TB to tie with a "Suspense" plug and forgetting it	Investigate the difference; suspense is temporary, not a fix
Ignoring the sign of closing stock	Appears twice: P&L credit AND balance-sheet asset
Posting to the wrong period	Lock periods after close; date-stamp every voucher

Pros reconcile *as they go*, keep a **close checklist**, and never trust a TB that ties without also checking that individual sub-ledgers (AP/AR/bank) match their supporting schedules.

Learn-it roadmap & resources

Time to proficiency: 6–10 weeks of daily practice from a working debit-credit base.

- **Weeks 1–2:** Golden rules, voucher types, pass 50 entries by hand.
- **Weeks 3–5:** TallyPrime end-to-end — company creation, GST setup, all voucher types, export TB and statements. (Free: *Tally Education* self-learning; YouTube *FinTaxPro*, *CA Rahul Malodia*.)
- **Weeks 6–8:** Excel reconciliations (XLOOKUP, SUMIF, pivot the ledger), one full month-end close.
- **Weeks 9–10:** GST portal — file a practice GSTR-3B, reconcile 2B; touch SAP FICO concepts.

Certifications that carry weight: Tally's **TallyPrime with GST** certificate; **SAP FICO** (for MNC GL roles); your **CA-Inter** itself is the strongest signal. Free portal practice: log into `gst.gov.in` with a sandbox/test GSTIN.

Quick-reference

Item	Detail
Cycle	Source doc → Voucher → Ledger → TB → Adjustments → Financials → Close
Golden rules	Personal: Dr receiver, Cr giver · Real: Dr in, Cr out · Nominal: Dr expenses/losses, Cr income/gains
Tally voucher keys	F4 Contra · F5 Payment · F6 Receipt · F7 Journal · F8 Sales · F9 Purchase
TB tie test	Σ Debits = Σ Credits; diff ÷ 9 → transposition; diff even → one-sided
GST intra-state	CGST + SGST (9%+9%); inter-state → IGST 18%
ITC check	Purchase register must match GSTR-2B before GSTR-3B
Accounting equation	Assets = Liabilities + Equity (must tie to the rupee)
Excel workhorses	`=XLOOKUP()` `=SUMIF()` `=MOD(diff,9)` pivot tables
Key adjustments	Depreciation, prepaid, accruals, provisions, closing stock
Depreciation (SLM/month)	Cost × rate ÷ 12 → Dr Depreciation / Cr Asset

Journal entries you will actually pass

What it is & where it's used

A journal entry is the atom of accounting: for every transaction you record which account to **Debit (Dr)** and which to **Credit (Cr)**, in equal amounts. Everything downstream — the trial balance, GST returns, the P&L, the balance sheet, the audit — is just journal entries aggregated. If you can pass the right entry for a real business event, you can do 70% of an accounts executive's job.

This is the core skill of every hands-on finance/accounts role: **Accounts Executive, Accounts Payable/Receivable, GST/Tax executive, Article assistant, Financial Analyst (who must read the entries auditors passed), and Controllers** who review them. In practice you pass these in **TallyPrime, Zoho Books, SAP, Oracle NetSuite, or QuickBooks** — but the tool only asks you the same question: *which head is Dr, which is Cr, and for how much?*

The gap: why companies want this (and college didn't teach it)

College teaches you the rule ("debit the receiver, credit the giver") and makes you pass textbook entries with clean numbers. Industry throws messy, tax-laden, multi-leg reality at you:

- A single sales invoice has **five lines** — party, sales, CGST, SGST, and possibly TCS or a round-off — not the two-line entry from your textbook.
- Real entries carry **input tax credit (ITC)** logic, **TDS deduction**, **reverse charge (RCM)**, **accruals at month-end**, and **prepaid amortisation** that colleges skip entirely.
- Nobody in a job says "pass a journal entry." They say *"book this vendor bill,"* *"the electricity bill for March hasn't come — provide for it,"* *"amortise the annual insurance,"* *"run depreciation for the quarter."* You must translate business language into Dr/Cr yourself.

The gap employers pay to close: **turning a real document (an invoice, a payslip, a bank statement, a rent agreement) into the correct, tax-compliant entry — first try, without a template.**

What "proficient" looks like

A job-ready person can, unaided:

1. Look at any **GST invoice** and book it with the correct CGST/SGST vs IGST split (intra- vs inter-state).
2. Know when to **debit an asset vs an expense**, and when tax is an asset (ITC) vs a cost (blocked credit / RCM).
3. Pass **month-end adjustment entries** — accruals, prepaids, depreciation, provisions — so the P&L reflects the *period*, not just cash movement.
4. Handle **TDS on both sides** (deducted by us on expenses; deducted by customers on our income).
5. Self-check: every entry's **total Dr = total Cr**, and the resulting balance makes intuitive sense (an asset stays debit, income stays credit).

Hands-on: how to actually do it

Golden rule set (modern, balance-sheet approach): **Assets & Expenses increase on Debit; Liabilities, Equity & Income increase on Credit.** Reverse to decrease.

1. Sales with GST (intra-state, ₹1,00,000 + 18% GST)

Account	Dr (₹)	Cr (₹)
Debtor / Bank A/c	1,18,000	
To Sales A/c		1,00,000
To Output CGST @9%		9,000
To Output SGST @9%		9,000

Inter-state? Replace CGST+SGST with a single **Output IGST @18% ₹18,000**.

2. Purchase with GST (ITC claim)

Account	Dr (₹)	Cr (₹)
Purchases A/c	50,000	
Input CGST @9%	4,500	
Input SGST @9%	4,500	
To Creditor A/c		59,000

Input GST is a **current asset** (receivable from government), not an expense.

3. Expense with TDS (professional fees ₹1,00,000, TDS 10% u/s 194J)

Account	Dr (₹)	Cr (₹)
Professional Fees A/c	1,00,000	
Input CGST @9%	9,000	
Input SGST @9%	9,000	
To Vendor A/c		1,08,000
To TDS Payable (194J)		10,000

TDS is computed on the **taxable value (₹1,00,000), not on GST**. You pay the vendor ₹1,08,000 and deposit ₹10,000 with the government.

4. Payroll (gross ₹5,00,000; PF ₹30,000 employee; TDS ₹40,000; net paid ₹4,30,000)

Account	Dr (₹)	Cr (₹)
Salaries & Wages A/c	5,00,000	
To Salary Payable A/c		4,30,000
To PF Payable (employee)		30,000
To TDS Payable (192)		40,000

Employer PF/ESI is a **separate** entry: `Dr PF Employer Contribution (expense) / Cr PF Payable`.

5. Accrual (electricity for March, bill not yet received, est. ₹25,000)

Account	Dr (₹)	Cr (₹)
Electricity Expense A/c	25,000	
To Outstanding Expenses A/c		25,000

Reverse next month when the actual bill arrives, then book the real invoice.

6. Prepaid (annual insurance ₹1,20,000 paid 1 Apr; monthly charge ₹10,000)

At payment:

Account	Dr (₹)	Cr (₹)
Prepaid Insurance A/c	1,20,000	
To Bank A/c		1,20,000

Every month-end:

Account	Dr (₹)	Cr (₹)
Insurance Expense A/c	10,000	
To Prepaid Insurance A/c		10,000

7. Depreciation (machine ₹6,00,000, SLM, 10% p.a. → ₹5,000/month)

Account	Dr (₹)	Cr (₹)
Depreciation A/c	5,000	
To Accumulated Depreciation A/c		5,000

8. Provision (audit fees payable, estimated ₹75,000)

Account	Dr (₹)	Cr (₹)
Audit Fees A/c	75,000	
To Provision for Audit Fees A/c		75,000

TallyPrime click-path (Sales voucher)

`Gateway of Tally → Vouchers → F8 (Sales) → Party A/c name → Sales ledger → select Item/amount → GST ledgers auto-calc if rates are set in the stock item → Ctrl+A to save.` For a pure JV use **F7 (Journal)**.

Worked example / mini-project

Reproduce March books for "Kaleru Traders" (Telangana, intra-state).

Transactions: 1. Sold goods ₹2,00,000 + 18% GST on credit to a Hyderabad customer. 2. Bought raw material ₹80,000 + 18% GST on credit from a local vendor. 3. Paid March rent ₹40,000 + 18% GST; landlord deducts nothing, we deduct TDS 10% u/s 194I. 4. Ran payroll: gross ₹1,00,000, TDS ₹8,000, net ₹92,000. 5. Month-end: depreciation ₹5,000; provide ₹15,000 for unbilled electricity.

Entries:

#	Account	Dr (₹)	Cr (₹)
1	Debtors	2,36,000	
	To Sales		2,00,000
	To Output CGST / SGST		18,000 / 18,000
2	Purchases	80,000	
	Input CGST / SGST	7,200 / 7,200	
	To Creditors		94,400
3	Rent	40,000	
	Input CGST / SGST	3,600 / 3,600	
	To Landlord		43,200
	To TDS Payable (194I)		4,000
4	Salaries	1,00,000	
	To Salary Payable		92,000
	To TDS Payable (192)		8,000
5a	Depreciation	5,000	
	To Accumulated Dep.		5,000
5b	Electricity	15,000	
	To Outstanding Expenses		15,000

Net GST payable check: Output ₹36,000 − Input (₹14,400 + ₹7,200) = **₹14,400 payable** in GSTR-3B. This single reconciliation is what a GST executive computes every month.

How it's tested

Interview questions: - "Pass the entry for a credit sale of ₹1,00,000 with 18% GST, inter-state." (Expect: IGST, not CGST/SGST.) - "Insurance paid for the full year — how do you treat it?" (Prepaid + monthly amortisation.) - "Difference between provision and accrual?" (Provision = estimated known liability; accrual = expense incurred, bill awaited.) - "Is input GST an expense?" (No — a current asset / ITC.) - "Bill received but goods not yet delivered — book it?" (Match to period; goods-in-transit / accrual logic.)

Practical assessment: Firms hand you **5–10 vouchers or a stack of invoices and a 30-minute timer** in Tally or on paper, and ask you to book them and produce a trial balance that ties. Some give a "close these books" case: raw transactions + instructions to pass month-end adjustments and hand back a P&L. Big-4 article interviews probe the *why* behind each Dr/Cr.

Common mistakes & how pros avoid them

Mistake	Fix
Charging CGST/SGST on an inter-state sale	Check place of supply first: same state → C+S; different state → IGST.
Deducting TDS on the GST portion	TDS is on the **taxable value only**.
Treating input GST as an expense	Book it as **Input CGST/SGST/IGST (asset)** so ITC flows to GSTR-3B.
Capitalising a repair / expensing an asset	Asset = future benefit > 1 yr; repair = restore current condition.
Forgetting to reverse accruals next period	Pass a reversing JV on day 1 of the new month.
Provision & actual bill both hitting expense (double count)	Reverse the provision when the real invoice is booked.
Entry doesn't balance	Always verify **ΣDr = ΣCr** before saving.

Learn-it roadmap & resources

Time to proficiency: 4–6 weeks of daily practice (you already have the theory from CA Inter).

- **Week 1–2:** Master the modern golden rules; hand-write the 8 entry types above until automatic.
- **Week 3:** TallyPrime — do the free **Tally Education** course or ICAI's Tally module; book 50+ real invoices.
- **Week 4:** GST layer — practise CGST/SGST/IGST/RCM and reconcile a month to GSTR-3B on the GST portal (sandbox).
- **Ongoing:** Pull a real company's financials and reverse-engineer what entries produced each line.

Resources: ICAI Accounting & Taxation study material (free), TallyPrime GST self-learning (free), Zoho Books "Accountant" free plan for sandbox practice, and Cleartax/TaxGuru articles for TDS/GST rate updates.
Certifications that signal competence: Tally ACE/Professional, and your CA Inter itself.

Quick-reference

Event	Debit	Credit
Credit sale (intra)	Debtor	Sales + Output CGST + Output SGST
Credit sale (inter)	Debtor	Sales + Output IGST
Purchase	Purchases + Input CGST/SGST	Creditor
Expense + TDS	Expense + Input GST	Vendor + TDS Payable
Payroll	Salaries	Salary Payable + PF + TDS
Accrual	Expense	Outstanding Expenses
Prepaid (pay) / (charge)	Prepaid Asset / Expense	Bank / Prepaid Asset
Depreciation	Depreciation	Accumulated Depreciation
Provision	Expense	Provision A/c

Rules: Assets & Expenses ↑ = Dr · Liabilities, Equity, Income ↑ = Cr · TDS on taxable value only · Input GST = asset · Same state → CGST+SGST, different state → IGST · Always ΣDr = ΣCr.

Common rates: GST 5/12/18/28% · TDS 194J (professional) 10% · 194I (rent) 10% · 194C (contractor) 1–2% · 192 (salary) at slab.

TallyPrime Hands-On

What it is & where it's used

TallyPrime is the accounting and compliance backbone of Indian SMEs. Roughly 2 million-plus businesses run their books on Tally, which means when a hiring manager at a mid-size firm, a CA practice, or a trading/manufacturing company reads "Tally" on your resume, they mean: *can you actually pass entries, generate GST returns, and pull a Trial Balance without hand-holding?*

Roles that require it, day one:

- **Accounts Executive / Accounts Assistant** — voucher entry, bank reconciliation, ledger scrutiny.
- **Accountant / Sr. Accountant** — month-end close, GST/TDS working, MIS reports.
- **Audit article / audit assistant** — you *receive* client Tally data and vouch it.
- **Tax / GST executive** — GSTR-1 and GSTR-3B reconciliation straight out of Tally.
- **Finance analyst at an SME** — Tally is the source system before data hits Excel.

Globally, the equivalents are QuickBooks (US/UK SMEs), Xero (ANZ/UK), Zoho Books, and SAP B1 for larger shops. The *muscle* you build in Tally — double-entry discipline, master setup, tax mapping, reconciliation — ports directly to all of them.

The gap: why companies want this (and college didn't teach it)

An MBA or B.Com teaches you *what* a journal entry is. It does not teach you that in Tally you press **F9** for a Purchase, that a "ledger" must sit under the correct "group" or your Balance Sheet mis-classifies, or that a wrong GST rate at ledger level silently corrupts your GSTR-1.

The specific gaps employers pay to close:

College teaches	The job needs
Debit the receiver, credit the giver	Which *voucher type* (F5/F6/F7/F8/F9) records it, and the exact click-path
"GST is 18%"	Setting CGST/SGST/IGST ledgers, HSN codes, and tax-rate at stock/ledger level so returns auto-compute
Bank reconciliation concept	Matching Tally to a bank statement, setting the *bank date*, clearing 40 uncleared entries
Trial Balance definition	Drilling from Balance Sheet → group → ledger → voucher to find a ₹500 mismatch

Companies want someone who can be handed a laptop with TallyPrime open and be productive in an hour, not someone who needs a week of "where's the sales entry?"

What "proficient" looks like

A job-ready person can, unaided:

1. Create a company with correct financial year, GSTIN, and features enabled.
2. Build the group/ledger structure and stock items with tax rates.

3. Pass all five core vouchers (Sales, Purchase, Payment, Receipt, Journal) with GST auto-calculating.
4. Reconcile a bank ledger against a statement and explain every uncleared item.
5. Generate and *interpret* Balance Sheet, P&L, Trial Balance, Day Book, GSTR-1, GSTR-3B, and the Ledger.
6. Fix a mismatched Trial Balance by drill-down.

Speed benchmark: a proficient user passes a standard sales invoice in under 30 seconds and closes a month's bank rec in under 20 minutes.

Hands-on: how to actually do it

> Navigation note: `Gateway of Tally` is your home. `Alt+G` (Go To) is the universal search — type any report/master name. `Ctrl+A` saves any screen. `Esc` backs out.

1. Company setup

```
Open TallyPrime → Alt+K (Company) → Create Company
  Company Name : Sharma Traders
  Financial year beginning : 1-Apr-2025
  Books beginning from      : 1-Apr-2025
  Set/Alter GST details     : Yes  → State: Telangana, GSTIN: 36ABCPS1234F1Z5, Reg type: Regul
  Base currency symbol      : ₹
Ctrl+A to save
```

Enable features once: **F11 (Features)** → set *Maintain Accounts* = *Yes*, *Enable Goods and Services Tax (GST)* = *Yes*, *Maintain Inventory* = *Yes*.

2. Masters — groups and ledgers

Every ledger MUST sit under a group; the group decides where it lands in the financials.

```
Gateway of Tally → Create (or Alt+G → "Create Ledger")
```

Core ledgers to create:

Ledger	Under (Group)	Notes
Sales – GST 18%	Sales Accounts	Set GST rate 18%, HSN
Purchase – GST 18%	Purchase Accounts	Set GST rate 18%
CGST	Duties & Taxes	Type: GST, Tax type: Central
SGST	Duties & Taxes	Type: GST, Tax type: State
IGST	Duties & Taxes	Type: GST, Tax type: Integrated
HDFC Bank	Bank Accounts	Enter A/c no. + IFSC
Cash	Cash-in-Hand	Auto-exists
ABC Enterprises (customer)	Sundry Debtors	Set GSTIN + state
XYZ Suppliers (vendor)	Sundry Creditors	Set GSTIN + state
Rent	Indirect Expenses	—

3. GST setup

```
F11 → GST = Yes → set company GSTIN & state.
At ledger level (Sales/Purchase): Set/alter GST details = Yes → Taxability: Taxable, Integrate
Stock item level: same GST-details screen, plus HSN/SAC code.
```

Rule Tally applies automatically: buyer state = seller state → **CGST + SGST**; different states → **IGST**. Set the state correctly on party ledgers or Tally picks the wrong tax.

4. Voucher entry — the five you use daily

Voucher	Key	Records
Payment	F5	Money going out (pay vendor, expenses)
Receipt	F6	Money coming in (customer pays)
Contra	F4	Bank↔Cash transfers
Purchase	F9	Buying goods/services
Sales	F8	Selling goods/services
Journal	F7	Adjustments, provisions, depreciation

Sales invoice (F8) — sell 10 units @ ₹1,000, intra-state 18% GST:

```
Gateway of Tally → Vouchers → F8 (Sales)
  Party A/c name : ABC Enterprises
  Sales ledger   : Sales – GST 18%
  Item : Product-A   Qty 10   Rate 1000   → Amount 10,000
  CGST  → 900   (auto)
  SGST  → 900   (auto)
  Total : 11,800
Ctrl+A to save
```

The equivalent journal Tally posts behind the screen:

Account	Dr (₹)	Cr (₹)
ABC Enterprises (Debtor)	11,800	
Sales – GST 18%		10,000
Output CGST		900
Output SGST		900

Receipt (F6) — customer pays ₹11,800 into HDFC:

Account	Dr (₹)	Cr (₹)
HDFC Bank	11,800	
ABC Enterprises		11,800

Payment (F5) — pay rent ₹20,000 from bank:

Account	Dr (₹)	Cr (₹)
Rent	20,000	
HDFC Bank		20,000

Journal (F7) — provide depreciation ₹5,000:

Account	Dr (₹)	Cr (₹)
Depreciation	5,000	
Accumulated Depreciation		5,000

5. Bank reconciliation

```
Gateway of Tally → Alt+G → "Bank Reconciliation" → select HDFC Bank
  (or: Banking → Bank Reconciliation)
For each entry, in the "Bank Date" column enter the date it actually cleared per the bank stat
Entries with a bank date = reconciled. Blank bank date = still uncleared.
Bottom of screen shows: Balance as per Company books vs Balance as per Bank → difference must
Ctrl+A to save.
```

6. Key reports and their click-paths

Report	Click-path
Balance Sheet	Gateway → Balance Sheet (or `Alt+G` → "Balance Sheet")
Profit & Loss	Gateway → Profit & Loss A/c
Trial Balance	Gateway → Display More Reports → Trial Balance
Day Book (all vouchers of a day)	Gateway → Day Book (`Alt+G` → "Day Book")
Ledger (a party's full statement)	Display More Reports → Account Books → Ledger
GSTR-1 (outward)	Gateway → Display More Reports → GST Reports → GSTR-1
GSTR-3B (summary)	GST Reports → GSTR-3B
Stock Summary	Gateway → Stock Summary
Outstanding receivables	Display More Reports → Statements of Accounts → Outstanding → Receivables

Universal tricks: **F2** changes the report date/period, **Alt+F2** sets a date range, **Ctrl+F12** filters, and **Alt+E** exports to Excel/PDF. On any figure, press **Enter to drill down** all the way to the voucher.

Worked example / mini-project

Reproduce a mini month for **Sharma Traders**, April 2025. Create the company and ledgers above, then enter:

1. **02-Apr — Purchase (F9):** 50 units Product-A @ ₹700 from XYZ Suppliers, GST 18%. Value ₹35,000 + ₹6,300 CGST/SGST split (₹3,150 each) = ₹41,300.
2. **05-Apr — Payment (F5):** Pay XYZ ₹41,300 from HDFC Bank.
3. **10-Apr — Sales (F8):** 10 units @ ₹1,000 to ABC Enterprises, GST 18% → ₹11,800.
4. **15-Apr — Sales (F8):** 20 units @ ₹1,000 to ABC → ₹23,600.
5. **20-Apr — Receipt (F6):** ABC pays ₹35,400 into HDFC.
6. **30-Apr — Payment (F5):** Rent ₹20,000 from HDFC.
7. **30-Apr — Journal (F7):** Depreciation ₹5,000.

Now verify:

- **Trial Balance** (Gateway → Display More Reports → Trial Balance): total Dr = total Cr. If not, drill in.

- **Output GST payable** = ₹6,120 (on ₹34,000 sales); **Input GST** = ₹6,300 (on purchase). Net ITC carried forward ₹180. Check via **GSTR-3B**.
- **HDFC Bank ledger** movement: −41,300 −20,000 +35,400 = closing outflow ₹25,900 from opening. Reconcile assuming the ₹20,000 rent cheque hasn't cleared — set bank dates on the other two, leave rent's blank, and confirm the reconciliation difference = ₹20,000.
- **Stock Summary:** 50 in − 30 out = **20 units** Product-A on hand @ ₹700 = ₹14,000 closing stock.
- **P&L:** Gross Profit = Sales ₹34,000 − COGS (30 × ₹700 = ₹21,000) = ₹13,000; less Rent ₹20,000 and Depreciation ₹5,000 → net loss for the mini-month.

If every number ties, you've done a real close.

How it's tested

Interview questions:

- Which voucher for a credit sale vs a cash sale? (F8; cash = F8 with Cash as party.)
- Difference between a group and a ledger?
- How does Tally decide CGST+SGST vs IGST?
- Where do you set the GST rate — company, ledger, or stock item? (Any/all; most specific wins.)
- My Trial Balance doesn't match — how do you find the error? (Drill Balance Sheet → group → ledger → voucher.)
- What's the entry for depreciation? For a bad debt write-off?

Practical test (the real screen): Companies give a laptop with TallyPrime and say:

> "Here are 8 vouchers and a bank statement. Enter them, reconcile the HDFC bank account, and show me the GSTR-1 and Balance Sheet."

Or hand you a company where the Trial Balance is off by ₹X and ask you to find it. They watch whether you *use shortcuts* (F8/F9, Enter-to-drill, Alt+E) or hunt through menus — that tells them your real hours on the tool.

Common mistakes & how pros avoid them

Mistake	Consequence	Pro habit
Ledger under wrong group (e.g. Rent under Sundry Creditors)	Mis-stated Balance Sheet	Verify group at creation; check Trial Balance grouping
Wrong/blank state on party ledger	GST computes IGST vs CGST/SGST wrong	Always fill GSTIN + state on parties
Using Journal (F7) for everything	Loses inventory + GST auto-calc	Use F8/F9 for trade, F7 only for adjustments
Forgetting HSN/SAC	GSTR-1 rejects/errors on portal	Set HSN at stock/ledger level upfront
Not setting bank date in rec	Reconciliation never balances	Enter bank date only for cleared items
Editing a saved company's financial year mid-way	Data corruption	Set FY correctly at creation
Not backing up	Total data loss	Alt+K → Backup weekly; keep company data folder copied

Learn-it roadmap & resources

Time to proficiency: 3–4 weeks of daily practice (1–2 hrs) to be job-ready for an Accounts Executive role; 2 months to be fully independent on GST returns and close.

Week	Focus
1	Install, company setup, groups/ledgers, F5/F6/F8/F9
2	GST setup, stock items, inventory vouchers, HSN
3	Bank rec, all reports, drill-down, exports
4	Full mini-close + GSTR-1/3B reconciliation

Resources:

- **TallyPrime Educational mode** — free download from tallysolutions.com; runs full software (only restricts some dates) — practice unlimited.
- **Tally official YouTube channel & Help (F1 → Help)** — free, authoritative click-paths.
- **Certification:** *TallyEducation "TallyPrime with GST" / Tally ACE & PRO* certificates — inexpensive, recognized by Indian SMEs and add a resume line.
- Practice with any B.Com "Tally practical" workbook — do the entries, don't just read them.

Quick-reference

Voucher shortcuts (from Voucher screen):

Key	Voucher
F4	Contra
F5	Payment
F6	Receipt
F7	Journal
F8	Sales
F9	Purchase

Navigation & actions:

Key	Action
Alt+G	Go To (universal search)
Alt+K	Company menu
F11	Features
Ctrl+A	Save/accept
Enter	Drill down
F2 / Alt+F2	Change date / period
Alt+E	Export (Excel/PDF)
Esc	Go back

GST logic: same state → CGST + SGST (½ each); different state → IGST (full rate). Common rates: 5%, 12%, 18%, 28%.

Report paths: Gateway of Tally → Balance Sheet / Profit & Loss / Day Book / Stock Summary directly; Trial Balance, Ledger, GST Reports, Outstanding via **Display More Reports**.

Golden rule: every ledger under the right group → correct financials; correct state on parties → correct GST; bank date only on cleared items → clean reconciliation.

SAP FICO / S/4HANA for Finance

What it is & where it's used

SAP is the accounting engine that runs most large companies on earth. **FICO** is the finance half of SAP: **FI (Financial Accounting)** produces the statutory books — General Ledger, Accounts Payable, Accounts Receivable, Asset Accounting, Bank — that feed the balance sheet and P&L. **CO (Controlling)** is the management-accounting side — cost centres, profit centres, internal orders, product costing, profitability analysis (CO-PA). **S/4HANA** is SAP's current-generation product (the successor to ECC 6.0) built on the in-memory HANA database, where FI and CO are merged into a single table called the **Universal Journal (ACDOCA)** — one line item now carries both the GL account and the cost object, so there's no more month-end reconciliation between FI and CO.

Where it's used: every Nifty-50 company, most listed mid-caps, and — critically for an India-based candidate — the **Global Capability Centres (GCCs)** and Big-4 / captive shared-service centres in Bengaluru, Hyderabad, Pune, Gurgaon and Chennai. Roles that require it: **R2R (Record-to-Report) analyst, P2P (AP) associate, O2C (AR) associate, GL accountant, SAP FICO consultant, financial analyst, internal auditor, and tax analyst.** If a job description says "hands-on SAP" and pays a premium over a Tally job, this is the skill they mean.

The gap: why companies want this (and college didn't teach it)

An MBA or CA course teaches you *what* a journal entry is and *how* to prepare a trial balance by hand. It never teaches you that in a real company you **never touch the trial balance directly** — you post a document, the system derives the GL impact, and controls stop you from doing anything stupid. Colleges teach Tally at best, where one person does everything on one screen. SAP is the opposite: it is **built for control and scale**, where AP, AR, GL and treasury are separate teams, every posting leaves an audit trail, and a document once posted **cannot be deleted** (only reversed).

The specific gap employers pay to close:

- You think in **T-accounts**; SAP thinks in **document types, posting keys, and GL account determination**.
- You've never seen **automated postings** (tax, WHT/TDS, exchange differences, GR/IR clearing) that the system generates for you.
- You don't know **org structure** — that a "company" in SAP is a *Company Code*, and one instance can run 40 legal entities across 12 countries simultaneously.
- You've never done a **period-end close** on a clock with SLA penalties.

A fresher who can navigate SAP, post a vendor invoice, run FBL3N, and explain the P2P cycle is instantly worth more than one who only knows theory.

What "proficient" looks like

The concrete bar an R2R/AP/AR hire is tested against:

1. **Navigate by T-code** without hunting through menus — type `/nFB60`, `Enter`, you're on the vendor-invoice screen.

2. **Post the four core documents unaided**: GL journal (FB50), vendor invoice (FB60), customer invoice (FB70), general posting with both debit and credit lines (F-02).
3. **Read a GL account** using FBL3N and explain every line — distinguish open items from cleared items, drill into the source document (FB03).
4. **Explain the org structure**: Client → Company Code → Chart of Accounts → Business Area / Profit Centre / Cost Centre.
5. **Explain the end-to-end cycles**: P2P (PR → PO → GR → Invoice → Payment) and O2C (Order → Delivery → Billing → Receipt), and where FI hooks in.
6. **Clear open items** (F-32 customer, F-44 vendor, F.13 auto-clearing) and understand **GR/IR** reconciliation.
7. **Know what changed in S/4HANA**: Universal Journal, Business Partner (replaces separate customer/vendor masters), New Asset Accounting, Fiori apps.

Hands-on: how to actually do it

Org structure (memorise this hierarchy):

```
Client (e.g. 100)            ← top of the SAP box; shared master data
  └ Company Code (e.g. 1000, "ACME India Pvt Ltd")  ← a legal entity, produces B/S + P&L
      ├ Chart of Accounts (e.g. YCOA)   ← the GL account master list
      ├ Business Area / Segment
      ├ Profit Centre     (CO – internal P&L slice)
      └ Cost Centre       (CO – where costs land: HR, IT, Finance)
```

The core T-codes (type into the command box, prefix with /n to switch):

T-code	What it does	Tally equivalent
FB50	Post GL journal (GL accounts only)	Journal Voucher (F7)
FB60	Post vendor (AP) invoice	Purchase Voucher (F9)
FB70	Post customer (AR) invoice	Sales Voucher (F8)
F-02	General posting, manual Dr/Cr, any account	Journal with full control
FB03	Display any posted document	Drill into voucher
FBL3N	GL account line-item display	Ledger display
FBL1N	Vendor line items	Party ledger (creditor)
FBL5N	Customer line items	Party ledger (debtor)
F-53 / F110	Manual / automatic outgoing payment	Payment Voucher (F5)
FB08	Reverse a document	Delete/alter voucher
F-32 / F-44	Clear customer / vendor open items	Bill-wise adjustment

Posting keys (the two-digit code that tells SAP debit-or-credit and account type — this trips up every fresher):

Posting key	Meaning
40	GL account — Debit
50	GL account — Credit
01	Customer — Debit (invoice)
31	Vendor — Credit (invoice)
25	Vendor — Debit (payment)

Posting vs Tally — the mental shift. In Tally you *are* the ledger. In SAP you post a **document** with a header (date, type, company code) and line items; the system derives the GL hit, adds tax and TDS lines automatically, assigns a **document number** from a range, and freezes it. You can't delete — only **reverse (FB08)**, which creates an equal-and-opposite document. Every field is validated against master data before it saves.

Example: post a vendor invoice via FB60 (click-path). 1. `/nFB60` → set **Company Code** 1000. 2. **Vendor** = 100234, **Invoice date**, **Posting date**, **Amount** ₹1,18,000, **Currency** INR. 3. **Tax** tab: tax code `V0` /GST code; tick *Calculate tax* so SAP splits the ₹18,000 GST. 4. Line item: GL account 400100 (Office Expenses), amount ₹1,00,000, **Cost Centre** IN-ADMIN. 5. Check the **simulate** button (traffic light green) → **Post**. Document 1900000123 created.

The entry SAP builds behind that one screen:

Posting key	Account	Dr (₹)	Cr (₹)
40	Office Expenses (400100)	1,00,000	
40	Input CGST (154010)	9,000	
40	Input SGST (154020)	9,000	
31	Vendor — ACME Supplies (100234)		1,18,000

Worked example / mini-project

Scenario: You are a GL analyst at a Bengaluru GCC. Reproduce a mini month-end for Company Code 1000 (April 2026).

Step 1 — Rent accrual (FB50). Rent of ₹5,00,000 for April is unpaid at month-end.

PK	Account	Dr (₹)	Cr (₹)
40	Rent Expense (401200)	5,00,000	
50	Accrued Expenses (250100)		5,00,000

Step 2 — Customer invoice (FB70). Bill client TechCorp ₹11,80,000 incl. 18% GST.

PK	Account	Dr (₹)	Cr (₹)
01	Customer — TechCorp (200500)	11,80,000	
50	Consulting Revenue (300100)		10,00,000
50	Output CGST (254010)		90,000
50	Output SGST (254020)		90,000

Step 3 — Receipt & clearing (F-28, then F-32). TechCorp pays ₹11,80,000. Post the incoming payment, then clear the open invoice against the receipt so the customer line nets to zero.

Step 4 — Verify with FBL3N. Run FBL3N on GL 300100 (Consulting Revenue) for 01.04.2026–30.04.2026, status *All items*. You should see the ₹10,00,000 credit. Drill in (double-click → FB03) to confirm it traces to your FB70 document.

Step 5 — Reversal test. Say Step 1 rent should have been ₹4,00,000. Do **not** edit — reverse document via **FB08** (reversal reason 01), then re-post the correct amount. Now FBL3N on 401200 shows three lines (original +5,00,000, reversal −5,00,000, correct +4,00,000) — a clean audit trail no auditor can object to.

This five-step flow *is* what an R2R analyst does 200 times a month.

How it's tested

Interview questions (verbal screen): - "Walk me through the P2P cycle and where FI gets hit." (Expected: PR → PO → GR posts *Dr Inventory / Cr GR-IR*; Invoice posts *Dr GR-IR / Cr Vendor*; Payment posts *Dr Vendor / Cr Bank*.) - "Difference between FB50, FB60 and F-02?" (FB50 = GL only; FB60 = vendor sub-ledger; F-02 = fully manual, any account/posting key.) - "What is GR/IR and why does it need clearing?" - "Cost centre vs profit centre vs internal order?" - "What changed in S/4HANA vs ECC?" (Universal Journal ACDOCA, Business Partner, New Asset Accounting, Fiori, no FI-CO reconciliation.) - "How do you correct a wrongly posted document?" (Reverse via FB08 — never delete.)

Practical / assessment tests: - A **live-system or screenshot exercise**: "Here's a vendor bill — post it in FB60 and show the document number and the resulting entry." - A **journalising test**: given 8–10 business events, write the Dr/Cr with correct posting keys. - A **"read this FBL3N" screen**: identify open vs cleared items and explain a suspense balance. - A **close case**: "These four accruals are pending and the sub-ledger doesn't tie to GL — what do you do first?"

Common mistakes & how pros avoid them

Mistake	Why it hurts	Pro habit
Trying to *delete* a posted document	Impossible; flags you as a non-user	Always **reverse (FB08)**
Confusing Company Code with Client	Wrong-entity posting	Company Code = legal entity; check it first, every time
Wrong posting key (40 vs 50)	Entry lands on the wrong side	Memorise 40/50/01/31/25 cold
Ignoring **document date vs posting date**	Wrong period / GST return mismatch	Posting date drives the accounting period
Manually keying tax/TDS lines	SAP auto-derives them; manual = imbalance	Use tax codes, tick *Calculate tax*
Posting to a **cost element without a cost object**	Hard error in CO	Always attach cost centre/order on P&L accounts
Confusing open-item vs cleared	Reconciliation chaos	Learn F-32/F-44 clearing early
Leaving items in **GR/IR** unresolved	Audit finding at year-end	Run **MR11 / F.13** regularly

Learn-it roadmap & resources

Realistic time-to-proficiency: 4–8 weeks part-time to interview-ready as an *end user* (post, display, clear, explain cycles). 4–6 months for a **consultant-level** understanding (configuration, org structure setup, integration).

Week	Focus
1	Navigation, org structure, GL master data, FB50
2	AP: FB60, F-53, vendor line items (FBL1N)
3	AR: FB70, F-28, clearing (F-32)
4	Month-end: accruals, reversals (FB08), FBL3N reporting
5–6	CO basics: cost centres, profit centres, CO-PA concept
7–8	P2P & O2C end-to-end; S/4HANA differences; Fiori

Resources: - **SAP Learning Hub / learning.sap.com** — free "SAP S/4HANA for Financial Accounting Associates" learning journey (aligns with cert **C_TS4FI**). - **openSAP** free courses on S/4HANA Finance. - Practice access: a **free trial/IDES sandbox** or an institute-provided server (a real login beats any video). - Books: *SAP S/4HANA Finance: An Introduction* (SAP Press); *Configuring SAP S/4HANA Finance*. - **Certification worth doing:** SAP Certified Associate — SAP S/4HANA Cloud Public Edition, Finance (`C_TS4FI` / `C_S4CFI`). For an *accountant* role, hands-on beats the cert; for a *consultant* role, the cert matters.

Quick-reference

Org hierarchy: Client → Company Code (legal entity) → Chart of Accounts → Business Area / Profit Centre / Cost Centre.

Must-know T-codes: FB50 (GL post) · FB60 (vendor inv) · FB70 (customer inv) · F-02 (general/manual) · FB03 (display doc) · FBL3N (GL items) · FBL1N (vendor) · FBL5N (customer) · FB08 (reverse) · F-32/F-44 (clear cust/vendor) · F110 (auto payment run) · F.13 (auto-clear) · MR11 (GR/IR clear).

Posting keys: 40 = GL Dr · 50 = GL Cr · 01 = Customer Dr · 31 = Vendor Cr · 25 = Vendor Dr.

P2P entries: GR → *Dr Inventory / Cr GR-IR* · Invoice → *Dr GR-IR / Cr Vendor* · Payment → *Dr Vendor / Cr Bank*.

O2C entries: Billing → *Dr Customer / Cr Revenue + Output GST* · Receipt → *Dr Bank / Cr Customer*.

S/4HANA one-liners: Universal Journal = **ACDOCA** (FI + CO in one table) · **Business Partner** replaces separate customer/vendor masters · **New Asset Accounting** · **Fiori** UI · no FI-CO reconciliation.

Golden rule: Never delete — **reverse (FB08)**. Every posting leaves a trail.

Reconciliations That Matter

Reconciliation is the daily discipline of proving that two independent records of the same money agree — and explaining every rupee that doesn't. It is the single most common task juniors are handed on day one, and the fastest way to lose a manager's trust if you get it wrong.

What it is & where it's used

A reconciliation compares two versions of "truth" and isolates the differences (called *reconciling items*), each of which must have a documented reason and, if it's a real error, a journal entry. The four that actually matter in an Indian finance job:

Recon	Compares	Owned by	Consequence if wrong
Bank (BRS)	Cash-book / ledger vs bank statement	Accounts / Treasury	Cash misstated, fraud undetected
Vendor (AP)	Your ledger vs vendor's Statement of Account (SOA)	Accounts Payable	Double payment, disputed dues
Customer (AR)	Your ledger vs customer's SOA	Accounts Receivable	Bad-debt surprises, wrong collections
Inter-company (ICO)	Entity A's books vs Entity B's books	Group / consolidation	Consolidation doesn't tie, audit qualification
GST 2B recon	Purchase register vs GSTR-2B	Tax / Indirect Tax	ITC lost, notices under Sec 16

Roles that live and die by this: **Accounts Executive, AP/AR Analyst, R2R (Record-to-Report) associate in a GCC/Shared Service, GST/Indirect-tax executive, Treasury analyst, and audit staff** doing substantive testing.

The gap: why companies want this (and college didn't teach it)

MBA and CA-Inter teach you *what* a BRS is and make you draw the T-format statement. Employers don't care about the T-format — the bank feed and the ERP already exist. What they pay for is the **matching engine in your head and in Excel**: taking 4,000 bank lines and 3,800 book lines, matching them at speed, and confidently saying "these 12 items are genuine timing differences, these 3 are our posting errors, this one is a fraud." College gives you 20 clean transactions; the job gives you messy exports with different date formats, truncated narrations, part-payments, and TDS/bank-charge noise. Nobody teaches the **GSTR-2B reconciliation** at all, yet it directly controls how much Input Tax Credit a company can claim — real cash. That gap (clean-theory vs messy-volume-with-money-at-stake) is exactly what this chapter closes.

What "proficient" looks like

A job-ready person can, unaided:

- Take two raw exports and reconcile them in Excel using `XLOOKUP` / `SUMIFS` / `Power Query` within an hour, not a day.
- Explain *every* reconciling item as timing, error, or omission — and pass the "so what's the journal?" test.

- Categorise GST 2B mismatches into *match / mismatch / in-books-not-2B / in-2B-not-books* and know the ITC action for each.
- Build a **repeatable** recon (Power Query refresh, not manual re-keying every month).
- Know when a difference is a red flag (fraud, GST notice) versus routine.

Hands-on: how to actually do it

Bank reconciliation (BRS)

The modern BRS is a **two-way tick-mark**: match book lines to bank lines; whatever is left on each side is a reconciling item.

Match on a helper key (amount + date window). In Excel, flag whether each book entry appears in the bank statement:

```
' Book sheet, col F = is this cleared in the bank?
=IF(COUNTIFS(Bank[Amount], D2, Bank[Date], "≤"&TODAY()) > 0, "Cleared", "Uncleared")

' Better: exact two-way match with XLOOKUP on a composite key
' Build key = Amount&"|"&Narration-token in both sheets, then:
=IFERROR(XLOOKUP(G2, Bank[Key], Bank[Date], "NOT IN BANK"), "NOT IN BANK")
```

The reconciliation itself:

```
Balance as per Cash Book (Dr)                     12,45,000
Add: Cheques issued but not yet presented       + 2,30,000
Less: Cheques deposited but not yet cleared     -  1,10,000
Less: Bank charges not in books                 -     1,850
Add: Interest credited by bank not in books     +     3,200
Less: Direct debit (EMI) not in books           -    45,000
= Balance as per Bank Statement                   13,21,350
```

Every item that is *our* omission (bank charges, interest, direct debits) needs a journal:

Item	Dr	Cr	Amount
Bank charges	Bank Charges A/c	Bank A/c	1,850
Interest credited	Bank A/c	Interest Income A/c	3,200
EMI auto-debit	Loan A/c	Bank A/c	45,000

Cheques not presented / not cleared need **no** entry — they are pure timing.

Vendor / Customer reconciliation

You get the vendor's **SOA (PDF/Excel)** and match it to your ledger. Load both into **Power Query** and do an anti-join to find one-sided items:

1. Data → Get Data → From File (vendor SOA) and From File (your ledger export from Tally/SAP).
2. On invoice number, `Merge Queries` → **Left Anti** → gives invoices in *your* books not in vendor's.
3. Repeat **Right Anti** for vendor's-not-yours.
4. Net balance check: `= SUM(YourDebits) - SUM(YourCredits)` vs vendor's closing.

Typical causes of a vendor difference and the fix:

Difference	Reason	Action
Vendor shows invoice you don't	GRN/invoice not booked	Book the purchase (or dispute)
You show payment vendor doesn't	Cheque in transit / wrong UTR	Share UTR, no entry
TDS deducted	Vendor booked gross	Reconcile with TDS deducted; educate vendor
Debit/credit note timing	Return not yet in vendor books	Confirm CN reference

Inter-company reconciliation

Entity A's "due from B" must equal Entity B's "due to A", sign-flipped. Use a shared **ICO matrix**. In SQL against a group ledger:

```
SELECT a.doc_id, a.entity AS from_entity, b.entity AS to_entity,
       a.amount AS a_side, b.amount AS b_side,
       a.amount + b.amount AS difference
FROM ico_ledger a
JOIN ico_ledger b
  ON a.doc_id = b.doc_id
 AND a.counterparty = b.entity
WHERE ABS(a.amount + b.amount) > 1        -- non-zero net = mismatch
ORDER BY ABS(a.amount + b.amount) DESC;
```

Differences are usually **FX rate** (each entity used a different rate), **cut-off** (goods in transit at period-end), or a **missed booking**. The elimination entry at consolidation only works if the mismatch is zero, so this must clear before close.

GST 2B reconciliation

GSTR-2B is the auto-drafted ITC statement. You may claim ITC **only** for invoices appearing in 2B (Sec 16(2)(aa)). Match your **purchase register** to 2B on **GSTIN + Invoice No + Taxable Value + Tax**.

Python is ideal because 2B is a downloadable JSON/Excel and volumes are large:

```
import pandas as pd

books = pd.read_excel("purchase_register.xlsx")
gst2b = pd.read_excel("GSTR2B.xlsx")

# Normalise keys — invoice numbers are the usual pain point
for df in (books, gst2b):
    df["key"] = (df["GSTIN"].str.strip()
                 + "|" + df["InvNo"].str.upper().str.replace(r"\W", "", regex=True)
                 + "|" + df["TaxableValue"].round(0).astype(int).astype(str))

merged = books.merge(gst2b, on="key", how="outer",
                     suffixes=("_bk", "_2b"), indicator=True)

status = {"both": "Matched",
          "left_only": "In books, NOT in 2B (hold ITC)",
          "right_only": "In 2B, NOT in books (book it)"}
merged["Recon"] = merged["_merge"].map(status)

# Tax-value mismatch even when both present
m = merged["_merge"] == "both"
merged.loc[m & (merged["Tax_bk"].round() != merged["Tax_2b"].round()),
           "Recon"] = "Value mismatch — probe"

merged.to_excel("2B_recon.xlsx", index=False)
```

Action per bucket: **Matched** → claim; **In-books-not-in-2B** → do *not* claim yet, follow up with vendor to file GSTR-1; **In-2B-not-in-books** → book the purchase; **Value mismatch** → check rate/rounding, raise with vendor.

Worked example / mini-project

Scenario: Month-end GST 2B recon for Acme Traders Pvt Ltd, March 2026.

Purchase register (books):

Vendor GSTIN	Inv No	Taxable	GST
29ABCDE1234F1Z5	INV-101	1,00,000	18,000
27PQRSX5678L1Z2	5023	50,000	9,000
06LMNOP9012K1Z8	A/778	2,00,000	36,000

GSTR-2B (portal):

Supplier GSTIN	Inv No	Taxable	GST
29ABCDE1234F1Z5	INV101	1,00,000	18,000
27PQRSX5678L1Z2	5023	50,000	4,500
33ZZZZZ0000Z1Z0	90	80,000	14,400

Run the Python above (invoice normaliser strips the "-" so INV-101 = INV101). Result:

Recon status	Invoice	ITC action
Matched	INV-101	Claim 18,000
Value mismatch	5023	Books 9,000 vs 2B 4,500 — vendor filed at 9% wrongly; hold 4,500, chase
In books, not in 2B	A/778	Vendor hasn't filed GSTR-1; **do not claim 36,000** this month
In 2B, not in books	90	14,400 in 2B but no purchase booked — investigate; possibly wrong GSTIN mapped to us

Eligible ITC to claim in GSTR-3B = ₹18,000 + ₹4,500 = **₹22,500**, versus ₹63,000 the books naively suggest. That ₹40,500 gap is exactly why this recon exists — claiming the full amount invites a Sec 16 notice with interest.

How it's tested

Interview questions: - "A cheque you issued hasn't cleared — does it need a journal entry?" (No, timing.) - "Bank statement shows a credit you can't identify. What do you do?" (Park in suspense, investigate, never assume income.) - "Why can't you claim ITC that isn't in 2B?" (Sec 16(2)(aa).) - "Inter-company balance doesn't tie by ₹1,200 — likely cause?" (FX rate or cut-off timing.)

Practical tests companies give: - A **timed Excel test**: two sheets, "reconcile and list differences in 30 minutes" — they watch whether you reach for `XLOOKUP` / `COUNTIFS` /Power Query or start eyeballing. - A **GST case**: raw purchase register + 2B Excel, "how much ITC can we claim?" — the trap is the value-mismatch and not-in-2B rows. - A **close simulation** in a GCC: "here's a trial balance with an unreconciled bank line, clear it" — they score whether your journals are correct and balanced.

Common mistakes & how pros avoid them

Mistake	Why it hurts	Pro habit
Matching on amount alone	Two ₹50,000 payments collide	Match on composite key (party + inv + amount)
Passing entries for timing items	Overstates/understates cash	Only *errors and omissions* get journals
Dumping unknowns into a "misc" bucket	Hides fraud	Everything gets a named reason or goes to suspense with a ticket
Claiming full ITC ignoring 2B	Interest + penalty under GST	Claim only matched value
Re-keying the recon every month	Slow, error-prone	Build once in Power Query, refresh monthly
Ignoring rounding	100s of false mismatches	Round to nearest rupee before comparing
Not aging the differences	Old items rot	Track "days open" on every reconciling item

Learn-it roadmap & resources

Time to proficiency: 4–6 weeks of deliberate practice alongside a job or dummy data.

- **Week 1–2:** Master BRS logic + Excel matching (`XLOOKUP` , `SUMIFS` , `COUNTIFS`). Free: ExcelIsFun / Chandoo lookup playlists.
- **Week 3:** Power Query merge/anti-join for AP/AR recon. Free: Microsoft Power Query docs; "Get & Transform" tutorials.
- **Week 4:** GST 2B recon — read Sec 16 & Rule 36; practice on the **GST portal** (Returns → GSTR-2B → download Excel). Free: GSTN help + ICAI GST background material.
- **Week 5–6:** Automate one recon end-to-end in Python (pandas) or an ERP (TallyPrime bank reconciliation: *Gateway → Banking → Bank Reconciliation*).

Certifications that signal this skill: **ICAI GST certificate course**, **Microsoft PL-300 (Power BI/Query)**, or any R2R/AP-AR training from a GCC. None are mandatory — a clean reconciled workbook you built beats a certificate in interviews.

Quick-reference

Need	Formula / step
Is book line in bank?	`=COUNTIFS(Bank[Amt],D2,Bank[Date],"≤"&TODAY())>0`
Two-way match key	`=A2&"|"&TEXT(ROUND(B2,0),"0")` both sheets, then `XLOOKUP`
One-sided items	Power Query → Merge → **Left/Right Anti**
ICO net difference	`a.amount + b.amount` (should = 0)
2B match key	`GSTIN | InvNo(normalised) | TaxableValue`
Bank charge JE	Dr Bank Charges / Cr Bank
Bank interest JE	Dr Bank / Cr Interest Income
Auto-debit EMI JE	Dr Loan / Cr Bank

Reconciling-item rule of thumb: *Timing → no entry. Error/omission → journal. Unknown → suspense + investigate, never income.*

GST 2B buckets: Matched → claim · In-books-not-2B → hold, chase vendor · In-2B-not-books → book it · Value mismatch → probe rate/rounding.

Legal anchors: BRS is management practice (no statute) · GST ITC gated by **Sec 16(2)(aa)** and **Rule 36** · TDS reconciliation ties to **Form 26AS / AIS**.

Month-end close: the checklist & journals

What it is & where it's used

Month-end close (MEC) is the disciplined process of finalising a company's books for a period so the numbers can be trusted, reported, and locked. It's the difference between a ledger that *has* transactions and financials that are *complete, accurate, and cut off correctly*. Every accrual, prepaid, provision, depreciation run, reconciliation, and inter-company match happens in a fixed window — typically **Working Day 1 (WD1) to WD5** — ending with a signed-off Trial Balance and a flux (variance) commentary sent to management.

Roles that live and die by the close:

Role	What they own in the close
Accounts Executive / AP-AR	Cut-off, accruals of unbilled expenses, vendor/customer recons
GL Accountant / Financial Analyst	Journals, depreciation, provisions, prepaid amortisation, TB
Assistant Manager – Finance	Flux analysis, review, sign-off, schedules
FP&A	Actual vs budget variance, board pack
Statutory/Internal Audit	Tests cut-off, provisions, and the close controls

In India this maps directly to the monthly cycle around **GSTR-1 (11th), GSTR-3B (20th), TDS payment (7th)**, and quarterly Ind AS/Schedule III reporting. Globally the same skeleton drives US GAAP/IFRS closes on a "5-day close" or "faster close" mandate.

The gap: why companies want this (and college didn't teach it)

College teaches you to pass a *single* adjusting entry in an exam — "provide depreciation @15% WDV" — with the numbers handed to you. It never teaches the **operational reality**:

- Nobody hands you the numbers. You *derive* the accrual from open POs, GRNs, and a rate card.
- Everything is **time-boxed**. The CFO wants a P&L by WD3, not "whenever it's ready."
- **Cut-off** is a control, not a concept — an invoice dated 30-Sep that hits on 3-Oct must still land in September.
- The books must **tie out**: bank recon, GST 2B vs books, AP sub-ledger to GL control account.
- You must **explain movements** (flux), not just produce them. "Why is repairs up 40% MoM?" is the actual job.

Employers pay for someone who can take a messy set of sub-ledgers and produce a defensible TB *on a deadline, unaided*. That reliability — checklist-driven, self-reviewing — is what an MBA syllabus skips entirely.

What "proficient" looks like

A job-ready person can, without supervision:

1. Own a **close calendar** and drive owners to hit WD deadlines.
2. Compute and post **accruals, prepaids, provisions, and depreciation** with a supporting schedule for each.

3. Apply **cut-off** correctly across revenue, expenses, and inventory.
4. Reconcile **sub-ledger to GL** (AP, AR, fixed assets, bank) and clear differences.
5. Produce a **flux analysis** with real commentary (drivers, not restated numbers).
6. Deliver a **reusable checklist** with maker/checker sign-off and an audit trail.
7. Reverse accruals cleanly the next period and avoid double-counting.

Hands-on: how to actually do it

1. The close calendar

Build it once, reuse forever. A minimal WD-based calendar:

WD	Task	Owner
WD1	Freeze sub-ledgers (AP/AR/inventory), post cut-off accruals	AP/AR
WD1-2	Bank recon, GST 2B vs books, TDS reconciliation	GL
WD2	Prepaid amortisation, depreciation run, provisions	GL
WD3	Inter-company match, draft TB, first flux	AM
WD4	Review adjustments, finalise schedules	AM
WD5	Lock period, MIS pack + flux commentary to CFO	FP&A

2. The core journals

Accrual — unbilled expense (services received in Sep, invoice not in). Say ₹1,80,000 of consultancy, GRN raised, no bill:

Account	Dr	Cr
Professional fees (P&L)	1,80,000	
Accrued expenses (Provision for expenses)		1,80,000

Reverse on 1-Oct so the actual invoice doesn't double-count:

Account	Dr	Cr
Accrued expenses	1,80,000	
Professional fees		1,80,000

Prepaid amortisation — annual insurance ₹1,20,000 paid 1-Apr, monthly charge:

```
Monthly = 1,20,000 / 12 = 10,000
```

Account	Dr	Cr
Insurance expense (P&L)	10,000	
Prepaid insurance (BS)		10,000

Depreciation — SLM, asset ₹6,00,000, life 5 yrs, no residual:

```
Monthly dep = 6,00,000 / (5*12) = 10,000
```

Account	Dr	Cr
Depreciation expense	10,000	
Accumulated depreciation		10,000

Provision — doubtful debts (Expected Credit Loss, Ind AS 109), 2% on ₹40,00,000 receivables:

Account	Dr	Cr
Impairment loss / Bad debt expense	80,000	
Provision for doubtful debts		80,000

3. Prepaid & accrual schedules in Excel

Auto-compute the monthly prepaid charge and remaining balance:

```
Monthly amort:  =IF(EOMONTH($D2,0)≥E$1, $C2/$B2, 0)
   where C2 = total prepaid, B2 = months, D2 = start date, E$1 = period-end date

Closing balance: =$C2 - SUMPRODUCT(($A$1:E$1≥$D2)*($A$1:E$1≤EOMONTH($D2,$B2-1))*($C2/$B2))
```

Pull the current period's accrual from an open-PO extract:

```
=SUMIFS(GRN[Value], GRN[Billed], "No", GRN[GRN_Date], "≤"&EOMONTH(TODAY(),0))
```

4. Cut-off test (SQL)

Catch invoices booked in the wrong period — doc date in Sep but posting date in Oct:

```
SELECT doc_no, vendor, doc_date, posting_date, amount
FROM ap_invoices
WHERE doc_date  ≤ '2026-09-30'
  AND posting_date > '2026-09-30'
  AND posting_date ≤ '2026-10-05';   -- likely September cut-off items
```

5. Sub-ledger to GL tie-out (SQL)

```
SELECT g.control_balance,
       s.subledger_balance,
       g.control_balance - s.subledger_balance AS difference
FROM (SELECT SUM(amount) control_balance FROM gl WHERE account='AP_CONTROL') g
CROSS JOIN (SELECT SUM(open_amount) subledger_balance FROM ap_open_items) s;
-- difference MUST be 0
```

6. Flux analysis (Python)

```
import pandas as pd
tb = pd.read_excel("TB.xlsx")  # cols: Account, Sep, Aug
tb["MoM_abs"] = tb["Sep"] - tb["Aug"]
tb["MoM_pct"] = (tb["MoM_abs"] / tb["Aug"].replace(0, pd.NA)) * 100
# flag anything moving > 10% AND > 50k for commentary
flux = tb[(tb["MoM_pct"].abs() > 10) & (tb["MoM_abs"].abs() > 50000)]
print(flux.sort_values("MoM_abs", key=abs, ascending=False))
```

7. TallyPrime click-path (recurring journals)

`Gateway of Tally > Vouchers > F7 (Journal)` → Dr expense, Cr provision → in the narration tag the reversal. For depreciation, keep an **Accounting Voucher** template and `Ctrl+D` won't help — instead duplicate last month's voucher via `Alt+2` from the Day Book and edit the date. Verify posting under `Display > Trial Balance > F5 (detailed)`.

Worked example / mini-project

Scenario: Close September 2026 for *Meridian Traders Pvt Ltd*. Draft TB shows PBT of ₹12,00,000 before adjustments. Post these:

#	Adjustment	Basis	Amount
1	Electricity accrual (bill due Oct)	Meter reading	₹45,000
2	Prepaid insurance charge	₹1,20,000 / 12	₹10,000
3	Depreciation — plant	SLM ₹6,00,000 / 60	₹10,000
4	Provision — doubtful debts	2% × ₹40,00,000	₹80,000
5	Interest accrual on loan	₹50,00,000 × 9% / 12	₹37,500

Impact on PBT:

```
Adjusted PBT = 12,00,000 - 45,000 - 10,000 - 10,000 - 80,000 - 37,500
             = 10,17,500
```

Flux commentary (Sep vs Aug), driver-based:

Account	Aug	Sep	MoM %	Commentary
Power & fuel	38,000	45,000	+18%	Higher production run + summer load
Provision – debtors	60,000	80,000	+33%	Debtor book grew ₹8L; ECL rate held at 2%
Interest cost	0	37,500	new	New ₹50L WC loan drawn 1-Sep

Deliverable: signed TB + these five schedules + flux note. On 1-Oct, reverse adjustments #1 and #5 (accruals), keep #2–#4 (they're period charges, not reversing accruals).

How it's tested

Interview questions - "Walk me through your month-end close, day by day." (Tests you actually did it.) - "Difference between accrual, provision, and reserve?" (Accrual = known amount, timing gap; provision = estimated liability; reserve = appropriation of profit.) - "An invoice dated 29-Sep arrives on 4-Oct — which period?" (September; cut-off follows the event, not the receipt.) - "How do you make sure an accrual isn't double-counted next month?" (Auto-reverse on WD1.) - "Your AP sub-ledger is ₹2,000 off the control account — what do you do?"

Practical tests companies give - A **timed Excel case**: raw sub-ledger dump → build prepaid & accrual schedules and a corrected TB in 45–60 min. - A **"close these books" case study**: 8–10 adjustments described in words; you must journalise, produce adjusted P&L, and write 3-line flux. - A **SQL/data screen** for analyst roles: write the cut-off and tie-out queries above. - A **reconciliation drill**: bank statement vs cash book, find and classify the differences.

Common mistakes & how pros avoid them

Mistake	Fix
Forgetting to reverse accruals → double expense	Post accruals as **auto-reversing** journals dated WD1 next month
Cut-off by invoice-received date, not event date	Apply the "goods/services received" test; run the SQL cut-off query
No supporting schedule behind a journal	One journal = one schedule; auditor's first ask
Flux that restates numbers ("up because it went up")	Commentary must name a **driver**: volume, rate, one-off, timing
Provisions that swing wildly with no policy	Fix a documented rate/methodology (e.g. ECL matrix) and hold it
Closing before sub-ledgers tie to GL	Tie-out difference must be **zero** before you lock the period
Posting to a period you've already locked	Lock the period in the ERP; late items go to the next open period with a note
Depreciation on the wrong pro-rata basis	Confirm policy: full-month, mid-month, or days-based; be consistent

Learn-it roadmap & resources

Time to proficiency: ~6–8 weeks of deliberate practice if you already know debits/credits.

Week	Focus
1–2	Journals cold: accrual, prepaid, provision, depreciation, and their reversals
3	Cut-off + reconciliations (bank, AP/AR, GST 2B vs books)
4	Build a close calendar + reusable checklist in Excel
5	Flux analysis — write real commentary on 3 months of dummy TBs
6–8	Run a full mock close end-to-end, timed, in Tally + Excel

Resources - *ICAI* Ind AS material — provisions (Ind AS 37), ECL (Ind AS 109), PP&E (Ind AS 16). - TallyPrime free trial — practise recurring journals and the Day Book workflow. - Corporate Finance Institute (CFI) — free "Month-End Close" and financial-accounting lessons. - CPA/ACCA record-to-report (R2R) notes for the globally-portable framing. - Practice data: generate a dummy sub-ledger in Excel and close it three months running.

Certifications that signal this: CA Intermediate (Accounting + Advanced Accounting), ACCA FA/FR, or any employer's internal R2R certification. For BPO/GCC "record-to-report" roles, the close checklist *is* the job description.

Quick-reference

Reversing vs non-reversing - Reverse next period: accruals (unbilled expense, interest, salary accrual). - Do NOT reverse: prepaid amortisation, depreciation, provisions (they're period charges/estimates).

Standard journals (Dr / Cr)

Entry	Dr	Cr
Accrual	Expense	Accrued liabilities
Prepaid charge	Expense	Prepaid asset
Depreciation	Depreciation exp	Accumulated dep
Provision (ECL)	Impairment loss	Provision
Interest accrual	Interest exp	Interest payable

Key formulas

```
Monthly prepaid = Total / No. of months
Monthly SLM dep = (Cost − Residual) / (Life in years * 12)
WDV dep         = Opening WDV * rate / 12
MoM flux %      = (Current − Prior) / Prior * 100
Tie-out diff    = GL control − Sub-ledger  (must = 0)
```

Close discipline - Freeze sub-ledgers → post adjustments → tie out → flux → lock. - One journal = one schedule = one owner. - Cut-off follows the **event date**, not the receipt date. - Flux commentary names a **driver**, never restates the number.

Ind AS in practice

What it is & where it's used

Ind AS (Indian Accounting Standards) are India's IFRS-converged standards. They are **mandatory** for listed companies and large unlisted companies (net worth ≥ ₹250 crore), plus their holding/subsidiary/associate/JV entities. Everyone else runs on the older **AS** (Accounting Standards) or the simpler Ind AS-lite. So the first job skill is knowing *which* framework the entity is on.

Four standards do 80% of the real work on the job:

Standard	Topic	Where it bites
Ind AS 115	Revenue from contracts with customers	Every sale, every SaaS subscription, every construction/AMC contract
Ind AS 116	Leases	Office rent, vehicles, equipment, plant land
Ind AS 109	Financial instruments	Receivables (ECL provisioning), investments, borrowings, derivatives
Ind AS 16	Property, plant & equipment	Capitalisation, componentisation, depreciation

Roles that need this: **financial reporting / R2R analysts**, statutory-audit associates (CA articles/qualified), controllers, FP&A when building models off Ind AS numbers, and anyone preparing or auditing consolidated financials.

The gap: why companies want this (and college didn't teach it)

MBA and even CA-Inter teaches *what* the standard says. The job is *applying* it to a messy contract nobody wrote with accounting in mind. College hands you "recognise revenue at fair value"; the employer hands you a ₹1.8 crore master service agreement with a discount, a free 3-month support add-on, and milestone billing, and asks: *how much revenue this quarter, and pass the entries.*

The specific gaps employers pay to close: - **Unbundling contracts** into performance obligations and allocating price — pure judgement, no textbook number. - **Building the Ind AS 116 ROU asset + lease liability amortisation schedule** in Excel from a rent agreement. This is a near-universal interview test. - **ECL (Expected Credit Loss) provision matrices** under Ind AS 109 — replacing the old "provide when overdue 180 days" rule with a forward-looking model. - Knowing the **AS → Ind AS journal differences** because most Indian firms carry both a tax book (AS/ICDS) and a reporting book (Ind AS).

What "proficient" looks like

A job-ready person can, **unaided**:

1. Read a contract and split it into performance obligations, allocate the transaction price, and state the recognition pattern (point-in-time vs over-time).
2. Build a lease amortisation schedule in Excel that ties: opening liability × rate = interest, less payment = closing; and ROU depreciated straight-line.

3. Build an ECL provision matrix by ageing bucket and compute the loss allowance.
4. Pass the full set of Dr/Cr entries for each, including deferred tax where the book/tax base differs.
5. Explain *why* — e.g. why a security deposit gets discounted, why a lease liability uses the incremental borrowing rate.

Hands-on: how to actually do it

Ind AS 115 — the 5-step model

1. Identify the contract → 2. Identify performance obligations (POs) → 3. Determine transaction price → 4. Allocate price to POs (by standalone selling price, SSP) → 5. Recognise revenue as each PO is satisfied.

Allocation in Excel — software licence ₹10,00,000 + 1-yr support billed together for ₹11,00,000; SSPs are ₹10,00,000 and ₹2,00,000.

```
Total SSP           =10,00,000+2,00,000           → 12,00,000
Licence allocated   =1100000*(1000000/1200000)    → 9,16,667  (point-in-time)
Support allocated   =1100000*(200000/1200000)     → 1,83,333  (over 12 months)
Monthly support rev =183333/12                     → 15,278
```

Journal at contract start (support unearned):

Particulars	Dr (₹)	Cr (₹)
Bank / Trade receivable	11,00,000	
To Revenue – Licence		9,16,667
To Contract liability (deferred support)		1,83,333

Each month: Dr Contract liability 15,278 / Cr Revenue – Support 15,278.

Ind AS 116 — lease liability + ROU (lessee)

Lease liability = **PV of future lease payments** at the incremental borrowing rate (IBR).

```
=PV(rate_per_period, n_periods, -payment, 0, type)
=-PV(0.10, 5, 300000, 0, 0)          'annual ₹3,00,000 rent, 5 yrs, 10% IBR, arrears
```

ROU asset = lease liability + initial direct costs + restoration provision − incentives.

Initial entry:

Particulars	Dr (₹)	Cr (₹)
Right-of-use asset	11,37,236	
To Lease liability		11,37,236

Then each period split payment into interest and principal (see worked example).

Ind AS 109 — ECL simplified approach for receivables

Provision matrix: apply a historical loss rate (adjusted for forward-looking factors) to each ageing bucket.

```
ECL_bucket = Gross_exposure * loss_rate
Total_ECL  = SUMPRODUCT(exposure_range, loss_rate_range)
```

Impairment entry: Dr Impairment loss (P&L) / Cr Allowance for ECL.

Security deposit (interest-free) under Ind AS 109 — a ₹5,00,000 deposit refundable in 3 years, discounted at 10%:

```
=5,00,000/(1.10)^3   → 3,75,657   'financial asset at amortised cost
Difference 1,24,343  → prepaid rent (ROU/expense), unwound as interest income
```

Ind AS 16 — componentisation & depreciation

Capitalise cost + directly attributable costs (freight, install, testing) − trade discounts; borrowing costs if a qualifying asset (Ind AS 23). Depreciate each significant **component** with a different useful life separately.

```
Depreciation p.a. = (Cost − Residual) / Useful_life           'SLM
=SLN(cost, salvage, life)
=DB(cost, salvage, life, period)                              'WDV / declining balance
```

Worked example / mini-project

Build a 5-year Ind AS 116 lease schedule. Office rent ₹3,00,000/year in arrears, 5 years, IBR 10%.

Liability at inception `=-PV(0.10,5,300000)` = **₹11,37,236**. ROU = same.

Yr	Opening liab	Interest @10%	Payment	Closing liab	ROU dep (SLM)
1	11,37,236	1,13,724	3,00,000	9,50,960	2,27,447
2	9,50,960	95,096	3,00,000	7,46,056	2,27,447
3	7,46,056	74,606	3,00,000	5,20,661	2,27,447
4	5,20,661	52,066	3,00,000	2,72,727	2,27,447
5	2,72,727	27,273	3,00,000	~0	2,27,447

Year-1 entries:

Particulars	Dr (₹)	Cr (₹)
Interest expense (finance cost)	1,13,724	
Lease liability	1,86,276	
To Bank		3,00,000
Depreciation – ROU asset	2,27,447	
To Accumulated depreciation – ROU		2,27,447

Compare to old AS 19 operating lease: total P&L would be a flat ₹3,00,000 rent. Under Ind AS 116, Year-1 charge = 1,13,724 + 2,27,447 = **₹3,41,171** — front-loaded. That front-loading is the single most-asked interview point. Reproduce this in Excel; the closing balance hitting ~0 in year 5 is your check.

Reproduce the ECL piece with this matrix:

Ageing	Exposure (₹)	Loss rate	ECL (₹)
Not due	20,00,000	0.5%	10,000
1–90 days	8,00,000	2%	16,000
91–180	3,00,000	10%	30,000
>180	1,00,000	50%	50,000
Total	**32,00,000**		**1,06,000**

`=SUMPRODUCT(B2:B5, C2:C5)` → 1,06,000. Entry: Dr Impairment loss 1,06,000 / Cr Allowance for ECL 1,06,000.

How it's tested

Interview questions: - Walk me through the 5-step revenue model with an example. When is revenue *over time* vs *point in time*? - What's the day-1 entry for a lease? Why does an operating lease now sit on the balance sheet? - Difference between ECL and the old incurred-loss model? What's the "simplified approach"? - Which costs get capitalised into PPE? Is training cost capitalised? (No.) - AS vs Ind AS revenue difference — what changed for a bundled software sale?

Practical tests companies give: - **Timed Excel (30–45 min):** "Here's a rent agreement — build the ROU + lease liability schedule and the year-1 journals." Extremely common for reporting/audit roles. - **Case:** a contract with two deliverables and a discount — allocate the price and give quarterly revenue. - **Provision matrix:** ageing given, compute ECL with SUMPRODUCT. - Big-4 audit assessments give an accounting-treatment memo: "conclude with reference to the standard paragraph."

Common mistakes & how pros avoid them

Mistake	Fix
Recognising bundled revenue upfront	Split into POs, defer service portion as contract liability
Using the wrong lease discount rate	Use IBR (or rate implicit if determinable); document the source
Straight-lining lease expense under Ind AS 116	Only AS 19 straight-lines; Ind AS 116 splits interest + depreciation
Forgetting short-term/low-value lease exemption	≤12 months or low-value → expense straight-line, no ROU
Provisioning ECL only when overdue	ECL is forward-looking; even *not-due* balances carry a small rate
Capitalising training/admin/launch costs in PPE	Only directly attributable costs to bring asset to working condition
Ignoring the deferred tax on Ind AS adjustments	Book base ≠ tax base → create DTA/DTL (Ind AS 12)
Discounting the security deposit but forgetting to unwind	Recognise interest income each year; amortise the prepaid rent

Learn-it roadmap & resources

Time to proficiency: 6–8 weeks part-time to handle these four standards confidently in Excel and journals.

- **Weeks 1–2:** Ind AS 115 + 116 — the two highest-yield. Build one lease schedule and one revenue-allocation sheet from scratch.
- **Weeks 3–4:** Ind AS 109 (ECL, amortised cost, security deposits) + Ind AS 16.
- **Weeks 5–6:** Deferred tax linkage (Ind AS 12), consolidation basics, first-time adoption (Ind AS 101).
- **Weeks 7–8:** Real annual reports — read the "significant accounting policies" note of a listed company and rebuild one disclosure.

Resources: - **ICAI** free Ind AS study material + the bare standards (mca.gov.in) — authoritative and free. - **EY / KPMG / Deloitte / PwC** "Ind AS pocket guides" and illustrative disclosures — free PDFs, industry-grade. - Company annual reports (Infosys, Reliance) — free, best worked examples of real disclosures. - **Certification:** ICAI's Certificate Course on Ind AS; **Dip IFR (ACCA)** is the globally-portable equivalent — highly regarded and transferable to IFRS roles abroad.

Quick-reference

Item	Formula / rule
Revenue (5 steps)	Contract → POs → Price → Allocate (by SSP) → Recognise
Price allocation	`=Total*(SSP_item/Total_SSP)`
Lease liability	`=-PV(IBR, n, payment, 0, type)`
ROU asset	Liability + IDC + restoration − incentives
Lease interest	Opening liability × IBR
ECL	`=SUMPRODUCT(exposure, loss_rate)`
Deposit at amortised cost	`=Deposit/(1+r)^n`
PPE depreciation	`=SLN(cost,salvage,life)` or `=DB(…)` for WDV
Lease exemption	≤12 months OR low-value → straight-line expense
Applicability	Listed OR net worth ≥ ₹250 cr (+ group entities)

Golden rule: Ind AS front-loads and puts things *on* the balance sheet (leases, ECL, discounted deposits). If your answer looks like flat AS-19 rent or "provide only when overdue," you're on the wrong standard.

Financial Statement Preparation & Schedule III

What it is & where it's used

Financial statement preparation is the act of converting a raw **trial balance (TB)** — a flat list of ledger balances — into the two statutory face documents every Indian company must file: the **Balance Sheet** and the **Statement of Profit and Loss**, plus the **Notes to Accounts** that explain every line. The mandated format is **Schedule III of the Companies Act, 2013** (Division I for entities on AS, Division II for Ind AS, Division III for NBFCs).

This is the single most common deliverable in an accounts department. It is used by:

- **Accounts/finance executives** doing the monthly and annual "close".
- **Audit article assistants / audit associates** who redraw a client's TB into Schedule III during statutory audit.
- **Consulting/ROC compliance teams** preparing statements for AOC-4 filing.
- **FP&A and controllership** who start every management pack from a Schedule III shell.

If you can take a messy TB and hand back a compliant Balance Sheet, P&L, and notes without supervision, you are doing the core job an accountant is paid for.

The gap: why companies want this (and college didn't teach it)

An MBA (and even much of CA theory) teaches you the *T-format* balance sheet — the horizontal "Liabilities on left, Assets on right" layout from the 1956 Act. **That format is illegal for companies today.** Schedule III mandates the **vertical format** with a fixed line-item sequence, mandatory sub-note groupings, and prior-year comparatives.

The specific gaps employers see in freshers:

What college teaches	What the job needs
T-format, no notes	Vertical Schedule III + 20-odd notes
"Sundry debtors"	"Trade Receivables", split by ageing & security
Lump everything as "Reserves"	Reserves & Surplus note with movement
Ignore current/non-current split	Every asset/liability classified by 12-month rule
One year only	Two-year comparatives, regrouped

College stops at the TB. The employer's work *starts* at the TB. Schedule III is procedural knowledge — grouping rules and a rigid template — that is simply never drilled academically.

What "proficient" looks like

A job-ready person can, **unaided**, do all of this:

1. Take a 150-line TB in Excel and map each ledger to its Schedule III line and note number.
2. Apply the **current vs non-current** test correctly (the 12-month / operating-cycle rule).

3. Build **Notes 1–2** (Share Capital, Reserves & Surplus with movement) and Notes for PPE, Trade Receivables (with the mandatory **ageing schedule**), Trade Payables ageing, Borrowings, and each expense head.
4. Ensure the Balance Sheet **ties** (Total Equity & Liabilities = Total Assets) and that P&L profit flows into Reserves.
5. Handle appropriations: **provision for tax, proposed dividend, transfer to reserves**.
6. Deliver with **prior-year comparatives** and note cross-references, ready for audit.
7. Know the FY2021 amendment additions: **ageing schedules, ratios disclosure, promoter shareholding, CSR, Ind AS vs AS differences**.

Hands-on: how to actually do it

Step 0 — the extended trial balance in Excel

Lay the TB out with a mapping column. This is the workhorse.

Col	Header	Content
A	Ledger	e.g. "Bank – HDFC CC"
B	Debit	4,50,000
C	Credit	
D	SIII_Head	"Cash & Cash Equivalents"
E	Note_No	12
F	Nature	Asset / Liab / Inc / Exp

Check the TB balances first:

```
=SUM(B:B)-SUM(C:C)        → must be 0
```

Pull a note total from the mapping (the key formula):

```
=SUMIFS($B:$B,$E:$E,12) - SUMIFS($C:$C,$E:$E,12)
```

Sum debits minus credits for every ledger tagged to Note 12. Do this for each note number and the statement builds itself.

Map ledgers to heads with a lookup table (build a master `tbl_Map` of ledger→head):

```
=XLOOKUP(A2, tbl_Map[Ledger], tbl_Map[SIII_Head], "**UNMAPPED**")
```

Filter for `**UNMAPPED**` to catch anything you forgot — an unmapped ledger is the #1 cause of a balance sheet that doesn't tie.

Step 1 — the current / non-current test

A liability is **current** if it is due within 12 months or the operating cycle; else non-current. Same logic for assets.

```
=IF(Due_Date - Reporting_Date ≤ 365, "Current", "Non-current")
```

Classic split: current maturities of long-term debt → **Other Current Liabilities**; the rest → **Long-term Borrowings**.

Step 2 — the mandatory ageing schedules (post-2021 amendment)

Trade Receivables must be bucketed. In Excel:

```
=SUMIFS(Amt, Days, "≥0", Days, "<181")          'Less than 6 months
=SUMIFS(Amt, Days, ">180", Days, "<366")        '6 months – 1 year
=SUMIFS(Amt, Days, ">365", Days, "<731")        '1–2 years
```

where `Days = TODAY() - Invoice_Date`. The buckets required: **< 6m, 6m–1y, 1–2y, 2–3y, > 3y**, split into *Undisputed – considered good / doubtful* and *Disputed*.

Step 3 — the closing journal entries

Before statements, pass the closing/appropriation entries:

#	Particulars	Dr	Cr
1	Depreciation Expense A/c ... Dr	8,00,000	
	To Accumulated Depreciation A/c		8,00,000
2	Profit & Loss A/c ... Dr	12,00,000	
	To Provision for Tax A/c		12,00,000
3	Surplus in P&L (Retained Earnings) ... Dr	5,00,000	
	To General Reserve A/c		5,00,000
4	All Revenue A/cs ... Dr / All Expense A/cs ... Cr	x	x
	To/By Profit & Loss A/c (closing)		

Step 4 — TallyPrime shortcut

Tally already outputs Schedule III if ledgers are grouped correctly: `Gateway of Tally → Balance Sheet → F12 (Configure) → "Method of showing Balance Sheet: Vertical" → Yes`. Then `Alt+F5` for detailed, `Ctrl+B` to change the schedule basis. But you still verify the grouping — Tally trusts your ledger's parent group.

Worked example / mini-project

Sunrise Traders Pvt Ltd — FY2024-25 trial balance (₹):

Ledger	Dr	Cr
Equity Share Capital (1,00,000 × ₹10)		10,00,000
General Reserve (opening)		4,00,000
Surplus in P&L (opening)		1,50,000
Term Loan – SBI (repay 2028)		6,00,000
Trade Payables		3,20,000
Plant & Machinery (gross)	18,00,000	
Accumulated Depreciation		5,00,000
Inventory	4,10,000	
Trade Receivables	5,60,000	
Cash & Bank	2,40,000	
Revenue from Operations		40,00,000
Purchases	22,00,000	
Employee Benefits Expense	6,50,000	
Depreciation	1,80,000	
Other Expenses	3,30,000	
Totals	**63,70,000**	**69,70,000**

Difference ₹6,00,000 = profit not yet closed. **Statement of P&L:**

Particulars	Note	2024-25 (₹)
Revenue from Operations	16	40,00,000
Total Income		**40,00,000**
Purchases of Stock-in-Trade	18	22,00,000
Employee Benefits Expense	19	6,50,000
Depreciation & Amortisation		1,80,000
Other Expenses	20	3,30,000
Total Expenses		**33,60,000**
Profit before Tax		**6,40,000**
Less: Tax @ 25%		1,60,000
Profit for the year		**4,80,000**

Appropriate: transfer ₹1,00,000 to General Reserve. Closing Surplus = 1,50,000 + 4,80,000 − 1,00,000 = **₹5,30,000**. General Reserve = 4,00,000 + 1,00,000 = **₹5,00,000**.

Balance Sheet as at 31 Mar 2025:

Particulars	Note	₹
I. EQUITY AND LIABILITIES		
(1) Shareholders' Funds		
(a) Share Capital	1	10,00,000
(b) Reserves & Surplus	2	10,30,000
(2) Non-current Liabilities		
Long-term Borrowings	3	6,00,000
(3) Current Liabilities		
Trade Payables	4	3,20,000
Provision for Tax	5	1,60,000
TOTAL		**31,10,000**
II. ASSETS		
(1) Non-current Assets		
PPE (18,00,000 − 6,80,000)	6	11,20,000
(2) Current Assets		
Inventories	7	4,10,000
Trade Receivables	8	5,60,000
Cash & Cash Equivalents	9	2,40,000
TOTAL		**31,10,000**

Note accumulated depreciation = 5,00,000 opening + 1,80,000 current = 6,80,000. Both sides tie at **₹31,10,000**.

Note 2 – Reserves & Surplus (show the movement):

	₹
General Reserve (4,00,000 + 1,00,000)	5,00,000
Surplus: Opening 1,50,000 + Profit 4,80,000 − Transfer 1,00,000	5,30,000
Total	**10,30,000**

Reproduce this in a workbook: TB on sheet 1, mapping column, `SUMIFS` per note, statements auto-populate.

How it's tested

Interview questions: - "Difference between T-format and Schedule III vertical format?" - "How do you classify current vs non-current — give the rule." - "Where does proposed dividend go now vs pre-2016?" (Now: disclosed in notes, provided only when declared.) - "Walk me from trial balance to balance sheet." -

"What new disclosures did the March 2021 Schedule III amendment add?" (Ageing schedules, ratios, promoter holding, CSR, shortfall utilisation.)

Practical/assessment tests: - A **timed Excel test (60–90 min):** here's a TB, produce Balance Sheet + P&L + Notes 1 and 2. They check if it ties and if groupings are right. - **"Regroup this" case:** a competitor-style messy TB with wrong heads; fix the classification. - **Audit-firm test:** given a client TB and last year's signed accounts, prepare current-year statements *with comparatives* and flag reclassifications. - Sometimes a **Tally practical:** post given entries, group ledgers, generate the vertical balance sheet.

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Balance sheet doesn't tie	Reconcile via the `SUM(Dr)-SUM(Cr)=0` check *before* building; hunt `**UNMAPPED**` ledgers
Netting off — showing TR net of advances	Never net; show gross assets and gross liabilities separately
Forgetting current maturities of long-term debt	Split loan repayment schedule; reclassify the next-12-months portion to current
Missing ageing schedules / ratios (post-2021)	Keep a checklist of the 8 new mandatory disclosures
Depreciation shown as reduction in gross PPE	Keep gross block and accumulated depreciation as separate note columns
Prior-year figures not regrouped	Regroup comparatives to match current classification and add a note
Wrong reserve movement	Always present Reserves & Surplus as opening + additions − deductions = closing
Rounding chaos	Fix one unit (₹ lakhs/₹ full) across all statements; state it in the header

Pros build **one linked template** and reuse it — they never rekey. They also keep a **lead schedule** per note tying back to the TB, which is exactly what auditors ask for.

Learn-it roadmap & resources

Time to proficiency: 3–5 weeks of deliberate practice if you already know debits/credits.

- **Week 1:** Read Schedule III Division I text (it's short — MCA website, free). Memorise the line-item order.
- **Week 2:** Rebuild 3 real published company balance sheets from their notes backwards into a TB, then forward again.
- **Week 3:** Do 5 timed TB→statements exercises in Excel with `SUMIFS` mapping.
- **Week 4:** Add the 2021 amendment disclosures (ageing, ratios). Do the same in TallyPrime.
- **Week 5:** Practise comparatives and appropriations.

Resources: - **Schedule III, Companies Act 2013** — the primary source, free on mca.gov.in. - **ICAI "Guidance Note on Division I & II of Schedule III"** — free PDF, the definitive reference. - **Taxmann / Bharat's "Company Balance Sheet & P&L"** — worked formats (paid). - **TallyPrime learning (Tally**

Education) for the ERP path. - **Certification:** CA Intermediate (Advanced Accounting) covers this fully; ICAI's Certificate Course on Financial Reporting; any "Company Final Accounts" MOOC.

Quick-reference

Schedule III Balance Sheet order (Division I):

```
EQUITY & LIABILITIES
  1 Shareholders' Funds → Share Capital | Reserves & Surplus | Money pending allotment
  2 Non-current Liabilities → Long-term Borrowings | Deferred Tax Liab | Other | LT Provisions
  3 Current Liabilities → ST Borrowings | Trade Payables | Other CL | ST Provisions
ASSETS
  1 Non-current Assets → PPE | Intangibles | Non-current Investments | LT L&A | Other
  2 Current Assets → Inventories | Current Investments | Trade Receivables | Cash & Cash Eq |
```

P&L order: Revenue from Operations → Other Income → Total Income → (Cost of Materials, Purchases, Change in Inventory, Employee Benefits, Finance Costs, Depreciation, Other Expenses) → PBT → Tax → PAT → EPS.

Item	Rule / value
Current classification	Due / realised within 12 months or operating cycle
TB check	`=SUM(Dr)-SUM(Cr)` must = 0
Note total formula	`=SUMIFS(Dr,Note,n)-SUMIFS(Cr,Note,n)`
Ageing buckets	<6m, 6m-1y, 1-2y, 2-3y, >3y
2021 new disclosures	Ageing, ratios, promoter holding, CSR, title deeds, shortfall use
Proposed dividend	Not provided; disclosed in notes until declared
Format	Vertical only (T-format illegal for companies)
Filing form	AOC-4 to ROC

Consolidation basics in practice

What it is & where it's used

Consolidation is combining a parent company and its subsidiaries into **one set of financial statements**, as if the group were a single economic entity. You don't just add the two balance sheets — you **eliminate** the internal relationships (the parent's investment, inter-company loans, inter-company sales) so the group statement shows only what the group owns and owes *to the outside world*.

In India this is governed by **Ind AS 110** (Consolidated Financial Statements) for listed / large companies and **AS 21** for others; globally it's **IFRS 10**. A company must consolidate when it **controls** another entity — practically, when it holds **more than 50% of voting power** (or controls the board / relevant activities).

Who does this at work:

Role	Consolidation task
Group / Corporate accountant	Prepares the quarterly/annual consolidated financials
Audit associate (Big 4 / mid-tier)	Tests elimination entries, goodwill, NCI
FP&A analyst	Builds the consolidation model in Excel
M&A / valuation analyst	Computes goodwill on acquisition (PPA)
Financial reporting (controllership)	Owns the consol close each period

Even a "single company" job touches this the moment the firm buys a stake, sets up a subsidiary, or spins off a division.

The gap: why companies want this (and college didn't teach it)

College teaches the **theory** — "eliminate the investment against equity, recognise goodwill and minority interest" — usually with a clean single-line example. It almost never makes you build a real **consolidation worksheet** with columns, elimination journals, and a proof that it balances. So freshers can *recite* AS 21 but freeze when handed two trial balances and told "give me the consol by 6 pm."

The specific gaps employers see:

- Candidates confuse **elimination entries** (removing internals) with **regular journals** (they don't hit any single company's books — they live only in the consol worksheet).
- They can't compute **goodwill** correctly — they net the *whole* subsidiary equity instead of only the **parent's share**, and forget the **NCI on net assets**.
- They don't know that **pre-acquisition** profits get capitalised (part of goodwill) while **post-acquisition** profits flow to consolidated reserves.
- They can't split profit between the **parent** and **Non-Controlling Interest (NCI / minority interest)**.

Closing this gap = being the person who can actually *produce* the number, not just describe it.

What "proficient" looks like

A job-ready person, handed a parent + subsidiary trial balance, can unaided:

1. Set up a **consolidation worksheet** (Parent | Subsidiary | Eliminations Dr | Eliminations Cr | Consolidated).
2. Compute **goodwill** = Cost of investment − Parent's share of net assets at acquisition.
3. Compute **NCI** = NCI % × net assets (at acquisition, then updated for post-acq movements).
4. Pass the **four core eliminations**: investment vs equity, inter-co debtor/creditor, inter-co sales/purchases, and **unrealised profit on stock**.
5. Split the year's profit into **owners of parent** and **NCI**, and prove the consol balances.
6. Explain *why* each entry exists in one sentence.

Hands-on: how to actually do it

The four eliminations you must know

1. Cancel the parent's investment against the subsidiary's equity at acquisition (this is where goodwill and NCI are born):

Particulars	Dr (₹)	Cr (₹)
Share capital (subsidiary)	XXX	
Reserves at acquisition (subsidiary)	XXX	
Goodwill (balancing, if positive)	XXX	
To Investment in subsidiary (parent)		XXX
To Non-Controlling Interest		XXX

2. Cancel inter-company balances (parent owes/lent to subsidiary):

Particulars	Dr (₹)	Cr (₹)
Inter-company creditor	XXX	
To Inter-company debtor		XXX

3. Cancel inter-company sales & purchases (so group revenue isn't inflated):

Particulars	Dr (₹)	Cr (₹)
Sales (inter-company)	XXX	
To Purchases / COGS (inter-company)		XXX

4. Remove unrealised profit on closing stock (goods still held within the group):

Particulars	Dr (₹)	Cr (₹)
Consolidated P&L (COGS)	XXX	
To Inventory		XXX

The Excel formulas that actually build the worksheet

Assume columns: `C` =Parent, `D` =Subsidiary, `E` =Elim Dr, `F` =Elim Cr. Consolidated column `G` :

```
# Assets (Dr nature): Parent + Sub + Elim Dr − Elim Cr
=C4 + D4 + E4 − F4

# Liabilities/Equity/Income (Cr nature): Parent + Sub − Elim Dr + Elim Cr
=C10 + D10 − E10 + F10

# Goodwill = Cost of investment − Parent% × Net assets at acquisition
=Cost_Invest − (Parent_pct * NA_acq)

# NCI at reporting date = NCI% × (Net assets at acquisition + post-acq reserves)
=NCI_pct * (NA_acq + Post_acq_reserves)

# Unrealised profit on stock = intra-group closing stock × margin
=IntraGroup_Stock * (GP_pct)         # if margin is on SALES
=IntraGroup_Stock * (Markup/(1+Markup))   # if profit is a % on COST

# Proof: total Elim Dr must equal total Elim Cr
=SUM(E:E)−SUM(F:F)      # must return 0
```

Use `SUMIF` to pull a full trial balance into the worksheet by account code:

```
=SUMIF(Parent_TB[Code], $B4, Parent_TB[Amount])
=SUMIF(Sub_TB[Code],    $B4, Sub_TB[Amount])
```

Python check (reproducible, audit-friendly)

```
cost_invest   = 1_800_000
parent_pct    = 0.80
sc_sub        = 1_000_000     # share capital of subsidiary
res_acq       = 500_000       # reserves at acquisition
na_acq        = sc_sub + res_acq

goodwill = cost_invest − parent_pct * na_acq
nci_acq  = (1 − parent_pct) * na_acq
print(f"Goodwill: Rs {goodwill:,.0f}")   # 1,800,000 − 0.8*1,500,000
print(f"NCI @acq: Rs {nci_acq:,.0f}")
```

Worked example / mini-project

Facts. On 1 Apr 2025, **Parent Ltd** buys **80%** of **Sub Ltd** for **₹18,00,000**. At that date Sub's share capital = **₹10,00,000**, reserves = **₹5,00,000** (net assets = ₹15,00,000). By 31 Mar 2026 Sub's reserves have grown to

₹8,00,000 (so **₹3,00,000 post-acquisition** profit). During the year Parent sold goods worth **₹2,00,000** to Sub at a **25% margin on cost**; **₹1,00,000** of it is still in Sub's closing stock. Parent's own reserves = ₹40,00,000. Inter-company: Sub owes Parent ₹1,50,000.

Step 1 — Goodwill:

```
Goodwill = 18,00,000 − (80% × 15,00,000)
         = 18,00,000 − 12,00,000 = ₹6,00,000
```

Step 2 — NCI at year-end:

```
NCI = 20% × (Net assets at reporting date)
    = 20% × (10,00,000 + 8,00,000) = 20% × 18,00,000 = ₹3,60,000
```

Step 3 — Unrealised profit on stock (25% on cost → margin = 25/125 = 20% of price):

```
Stock in group = ₹1,00,000 → profit element = 1,00,000 × 25/125 = ₹20,000
```

This ₹20,000 is deducted from consolidated inventory *and* from the profit-maker (Parent), so from consolidated reserves.

Step 4 — Consolidated reserves (owners of parent):

```
Parent's own reserves             40,00,000
+ Parent's share of post-acq (80% × 3,00,000)   2,40,000
− Unrealised profit                    (20,000)
= Consolidated reserves          ₹42,20,000
```

Step 5 — The elimination journals:

#	Entry	Dr (₹)	Cr (₹)
1	Share capital (Sub)	10,00,000	
	Reserves at acq (Sub)	5,00,000	
	Goodwill	6,00,000	
	To Investment in Sub		18,00,000
	To NCI (20% × 15,00,000)		3,00,000
2	Inter-co payable (Sub)	1,50,000	
	To Inter-co receivable (Parent)		1,50,000
3	Sales	2,00,000	
	To COGS		2,00,000
4	COGS (unrealised profit)	20,000	
	To Inventory		20,000

Post-acq NCI top-up: NCI is credited a further **20% × 3,00,000 = ₹60,000** (₹3,00,000 + ₹60,000 = **₹3,60,000**, matching Step 2).

Proof: goodwill ₹6,00,000 + consolidated reserves ₹42,20,000 + NCI ₹3,60,000 all tie back; the worksheet's Elim Dr = Elim Cr. That's a complete, reproducible consolidation you can rebuild in a fresh Excel tab in under 30 minutes.

How it's tested

Interview questions (conceptual): - "Why do we eliminate the investment against equity?" (Avoid double-counting — the investment *is* the net assets.) - "Pre-acquisition vs post-acquisition profit — what's the accounting difference?" (Pre → goodwill/NCI; post → consolidated reserves.) - "Goodwill formula? What if it's negative?" (Negative = capital reserve / bargain purchase, credited to P&L under Ind AS 103.) - "How is NCI measured?" (Proportionate net assets, or fair value / full-goodwill method.) - "What's unrealised profit and why remove it?"

Practical tests companies give: - A **timed Excel case**: two trial balances + a fact sheet → build the consol worksheet and give goodwill, NCI, consolidated reserves in 45–60 min. - A **"spot the missing elimination"** task: a consol that doesn't balance; find the un-cancelled inter-co entry. - **PPA (purchase price allocation)** exercise for M&A roles: fair-value the net assets, then derive goodwill.

Common mistakes & how pros avoid them

Mistake	The fix
Using **whole** subsidiary equity for goodwill	Use only **parent's %** of net assets at acquisition
Netting goodwill against **year-end** reserves	Goodwill uses reserves **at the acquisition date** only
Forgetting the **post-acquisition NCI top-up**	NCI = NCI% × *reporting-date* net assets, not acquisition-date
Margin **on cost vs on sales** confusion	25% on cost = 20% on price; use `markup/(1+markup)`
Consolidating a **≤50% associate** by adding lines	Associates use **equity method** (one-line), not full consolidation
Eliminations leaking into a single company's ledger	Eliminations live **only** in the consol worksheet — never posted to Tally of either entity
Consol worksheet doesn't balance	Add a **Elim Dr − Elim Cr = 0** check cell before you trust any number

Pros keep a **one-line "why"** next to every elimination and a **reconciliation of NCI and goodwill** as a standing tab — auditors ask for exactly that.

Learn-it roadmap & resources

Time to proficiency: ~2–3 weeks of focused practice if you already know basic financial statements.

Week	Focus
1	AS 21 / Ind AS 110 concepts; goodwill & NCI by hand on paper
2	Build 3–4 consol worksheets in Excel from scratch (add inter-co, stock, dividends)
3	Add complications: mid-year acquisition, fair-value adjustments, associates (equity method)

Resources: - **ICAI** Ind AS 110 / AS 21 study material and illustrations (free, India-specific). - CA Inter / CA Final **Advanced Accounting** consolidation chapters — the best structured drills for Indian candidates. - IFRS Foundation's **IFRS 10 / IAS 28** basics for the global framing. - Practice by taking any two public companies' standalone statements and attempting a mini-consol. - **Certifications that signal this skill:** CA, ACCA (FR & SBR papers), CPA (FAR), CFA (Financial Reporting).

Quick-reference

```
Consolidate when:  Control (usually >50% voting power)   → Ind AS 110 / AS 21 / IFRS 10
Associate (20–50%):  Equity method (one line), NOT full consol
```

Item	Formula
Goodwill	Cost of investment − Parent% × Net assets **at acquisition**
Negative goodwill	Bargain purchase → Capital reserve / P&L (Ind AS 103)
NCI (proportionate)	NCI% × Net assets **at reporting date**
Consolidated reserves	Parent reserves + Parent% × post-acq profit − unrealised profit
Unrealised profit (margin on sales)	Intra-group stock × GP%
Unrealised profit (markup on cost)	Intra-group stock × markup/(1+markup)

The four eliminations: (1) Investment ↔ Equity (birth of goodwill + NCI); (2) Inter-co debtor ↔ creditor; (3) Inter-co sales ↔ purchases; (4) Unrealised profit on stock.

Golden checks: Elim Dr = Elim Cr · Goodwill uses acquisition-date reserves · NCI uses reporting-date net assets · Eliminations never touch either company's own ledger.

MIS Reporting

What it is & where it's used

MIS (Management Information System) reporting is the recurring, decision-ready summary of a company's financial and operational performance — usually a **monthly MIS pack** that goes to the CFO, MD, board, investors, or a lender. It is not the statutory financials (those follow Schedule III / Ind AS and go out annually). MIS is *internal, fast, and opinionated*: it tells management "here is what happened, here is why, here is what to do."

A typical monthly pack contains: P&L actual vs budget vs last month, cash position and 13-week cash flow, receivables (AR) and payables (AP) ageing, and a KPI dashboard (gross margin %, EBITDA %, DSO, DPO, headcount cost, revenue per employee). It closes with **commentary** — the paragraph that explains variances.

Roles that live and die by MIS: **FP&A analyst, management accountant, finance manager, financial controller, business finance / commercial finance partner, and startup "finance person #1."** In an FMCG or manufacturing SME the accountant who "does the books in Tally" is also expected to produce the MIS. In a funded startup, the founder wants an MIS pack by the 7th of every month or the investor calls get awkward. This is one of the most *hireable* practical skills in Indian finance because every company above ~₹5 crore turnover needs it and very few juniors can build one.

The gap: why companies want this (and college didn't teach it)

College teaches you to *prepare* a P&L and balance sheet from a trial balance. It never teaches you to *interpret* one for a non-finance MD, or to build the same P&L **five ways** (by month, by product, by branch, actual vs budget, YoY). The MBA case method discusses strategy at 30,000 feet; the CA syllabus drills accounting standards. Neither hands you a blank Excel and says "the month closed yesterday, the MD wants the pack tomorrow at 9am, go."

The specific gaps MIS closes:

- **From "recording" to "reporting."** Employers already have Tally posting the entries. They pay you to turn that data into a one-page story.
- **Variance thinking.** Nobody in college asks "revenue is ₹8L below budget — is it price, volume, or mix?" That decomposition is the whole job.
- **Speed and templating.** Real MIS is the *same* template every month. The skill is building it once so it refreshes in 20 minutes, not rebuilding it for 3 days.
- **Commentary.** A number without a "so what" is useless to management. The gap is writing 5 crisp bullet points a CEO actually reads.

What "proficient" looks like

A job-ready person can, unaided:

1. Pull a trial balance / ledger export from Tally or an ERP and map every GL to an MIS line (revenue, COGS, opex buckets) using a **mapping table**, not manual sorting.

2. Build a **P&L that auto-refreshes** with actual vs budget vs prior month and computes variances in ₹ and %.
3. Produce **AR/AP ageing** (0-30 / 31-60 / 61-90 / 90+) from an open-item invoice list.
4. Compute the standard KPIs — Gross Margin %, EBITDA %, DSO, DPO, CCC, Current Ratio, Revenue/Employee — and know what each *means*.
5. Build a **13-week rolling cash flow** so management sees the runway, not just the bank balance.
6. Write **commentary** that attributes each material variance to a driver (price/volume/mix/timing/one-off).
7. Do all of the above on a locked template that refreshes when new data is pasted in — turnaround measured in hours, not days.

Hands-on: how to actually do it

Step 1 — Export the data

From **TallyPrime**: `Gateway of Tally → Display More Reports → Trial Balance` → press `Alt+E` (Export) → format **Excel (Spreadsheet)** → set "Show Ledger-wise" and full year. For ledgers/ageing: `Display More Reports → Statements of Accounts → Outstandings → Receivables` → `Alt+E`. This gives you a bill-by-bill open items list with due dates.

Step 2 — Map GLs to MIS lines (never sort by hand)

Keep a `Mapping` sheet: column A = Ledger name, column B = MIS bucket. Then in your data sheet:

```
=XLOOKUP([@Ledger], Mapping[Ledger], Mapping[MIS_Bucket], "UNMAPPED")
```

Guard against new ledgers slipping through:

```
=IF(COUNTIF(Mapping[Ledger],[@Ledger])=0, "⚠ NEW LEDGER", "OK")
```

Step 3 — Build the P&L with SUMIFS

Actual by bucket, then variance vs budget:

```
Actual:      =SUMIFS(Data[Amount], Data[MIS_Bucket], $A5, Data[Month], "Jun")
Var ₹:       =[@Actual]-[@Budget]
Var %:       =IFERROR([@Actual]/[@Budget]-1, "")
Margin %:    =[@GrossProfit]/[@Revenue]
```

Step 4 — AR/AP ageing buckets

Given an invoice list with `Due_Date` and `Outstanding`:

```
Days overdue: =MAX(0, TODAY()-[@Due_Date])
Bucket:       =IFS([@Days]≤30,"0-30", [@Days]≤60,"31-60", [@Days]≤90,"61-90", TRUE,"90+")
```

Then a summary pivot, or:

```
=SUMIFS(AR[Outstanding], AR[Customer], $A2, AR[Bucket], B$1)
```

Step 5 — The KPI block

```
DSO    = (Trade Receivables / Credit Sales) * Days_in_period
       = (Receivables / Revenue) * 30
DPO    = (Trade Payables / Purchases) * 30
CCC    = DSO + DIO − DPO
EBITDA% = EBITDA / Revenue
```

Optional — SQL if the data sits in a database

```
SELECT mis_bucket,
       SUM(CASE WHEN period = '2026-06' THEN amount END) AS actual_jun,
       SUM(CASE WHEN period = '2026-05' THEN amount END) AS actual_may
FROM gl_entries g
JOIN gl_mapping m ON g.ledger = m.ledger
GROUP BY mis_bucket
ORDER BY mis_bucket;
```

AR ageing in SQL:

```
SELECT customer,
  SUM(CASE WHEN CURRENT_DATE-due_date<=30 THEN outstanding ELSE 0 END) AS b_0_30,
  SUM(CASE WHEN CURRENT_DATE-due_date BETWEEN 31 AND 60 THEN outstanding ELSE 0 END) AS b_31_6
  SUM(CASE WHEN CURRENT_DATE-due_date BETWEEN 61 AND 90 THEN outstanding ELSE 0 END) AS b_61_9
  SUM(CASE WHEN CURRENT_DATE-due_date>90 THEN outstanding ELSE 0 END) AS b_90_plus
FROM open_invoices
GROUP BY customer;
```

Optional — Power BI / DAX for a live dashboard

```
Revenue       = SUM(Fact[Amount])
GM %          = DIVIDE([Gross Profit], [Revenue])
Rev vs Bud % = DIVIDE([Revenue] − [Budget Revenue], [Budget Revenue])
DSO           = DIVIDE([Trade Receivables], [Revenue]) * 30
YoY Rev %     = DIVIDE([Revenue] − CALCULATE([Revenue], DATEADD('Cal'[Date],-1,YEAR)),
                       CALCULATE([Revenue], DATEADD('Cal'[Date],-1,YEAR)))
```

The month-end adjusting entries behind the numbers

MIS is only right if provisions are booked. Typical month-end Dr/Cr:

Entry	Dr	Cr
Accrue electricity bill not yet received	Power & Fuel Exp	Provision for Expenses
Depreciation for the month	Depreciation	Accumulated Depreciation
Prepaid insurance monthly charge	Insurance Exp	Prepaid Insurance
Salaries earned, paid next month	Salaries	Salary Payable

Worked example / mini-project

Company: Vitesse Components Pvt Ltd, an auto-parts SME. June 2026 close.

P&L (₹ lakh)	Actual	Budget	Var ₹	Var %	Prior Mo
Revenue	210	230	(20)	-8.7%	205
COGS	138	147	9	—	131
Gross Profit	**72**	**83**	**(11)**	**-13.3%**	**74**
GM %	34.3%	36.1%	-1.8pp		36.1%
Employee cost	28	27	(1)		27
Other opex	19	20	1		19
EBITDA	**25**	**36**	**(11)**	**-30.6%**	**28**
EBITDA %	11.9%	15.7%			13.7%

AR ageing (₹ lakh):

Customer	0-30	31-60	61-90	90+	Total
Mahindra Tier-1	42	18	0	0	60
Local OEM	12	9	7	14	42
Total	**54**	**27**	**7**	**14**	**102**

KPIs: DSO = (102/210)×30 = **14.6 days ✓** but ₹14L is 90+ overdue — a red flag. DPO ≈ 32 days. GM slipped because a steel price hike raised COGS while a volume dip lost fixed-cost absorption.

Commentary (what management actually reads):

- Revenue ₹210L, **8.7% below budget** — driven by a 9% volume shortfall at Local OEM; price and mix held.
- **GM fell 1.8pp to 34.3%** — ₹6L from steel cost inflation (not passed to customers), ₹5L from weaker fixed-cost absorption on lower volume.
- **EBITDA ₹25L vs ₹36L budget**; the entire ₹11L miss is gross-margin, not overhead — opex is on plan.
- **₹14L receivables >90 days at Local OEM** — same customer driving the volume drop. Recommend credit hold and a collection call before July dispatch.
- **Action:** file a price-revision request with Local OEM to recover steel inflation; target ₹4L/month margin recovery from August.

Reproduce it: paste a Tally TB into `Data`, map GLs, and every table above refreshes with SUMIFS.

How it's tested

Interview questions: - "Walk me through what goes into a monthly MIS pack." - "Revenue is up but EBITDA is down — how do you explain that to the MD?" - "How do you decompose a revenue variance into price, volume, and mix?" - "What's the difference between MIS and statutory reporting?" - "DSO jumped from 45 to 60 days — what do you investigate?"

Practical / assessment tests companies give: - A **timed Excel test** (45-90 min): here's a raw TB and last month's template — produce the P&L, ageing, and 3 commentary bullets. - A **"broken template"** test: SUMIFS returns wrong totals because of an unmapped ledger; find and fix it. - A **case:** "Books close today, MD wants the pack by 9am — what's your checklist?" - Sometimes a **SQL screen** (build the ageing query) or a **Power BI take-home** (one dashboard page from a CSV).

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Hard-coding numbers / manual sorting each month	Locked template driven by SUMIFS + XLOOKUP mapping; only paste raw data
New ledger silently dropped from P&L	An "UNMAPPED / ⚠ NEW LEDGER" check cell that must read zero before publishing
P&L doesn't tie to Tally	Reconcile MIS revenue & PAT to the TB every month — a control-total cell
Commentary just restates numbers ("revenue down 8%")	Attribute to a *driver* — price/volume/mix/timing/one-off — and add an action
Ignoring cash — only P&L	Always include cash position + 13-week flow; profit ≠ liquidity
MIS on the 20th	Automate so it lands by working day 5-7; late MIS is useless
Mixing accruals in one month, cash in another	Book month-end provisions (depreciation, accruals, prepaids) before pulling
One giant P&L, no segmentation	Slice by product/branch/customer — that's where insight hides

Learn-it roadmap & resources

Time to proficiency: ~6-8 weeks part-time if you already know accounting. Week 1-2: Excel (SUMIFS, XLOOKUP, IFS, pivots, tables). Week 3-4: build a full P&L + ageing template from a real Tally export. Week 5-6: KPIs, variance decomposition, commentary writing. Week 7-8: Power BI / SQL layer for a live dashboard.

Resources: - *Excel:* ExcelJet (free formula reference), Chandoo.org, Leila Gharani (YouTube). - *FP&A / MIS:* CFI's FP&A and Financial Modeling courses (paid); "Financial Intelligence" by Berman & Knight (interpretation). - *Power BI:* Microsoft Learn "Power BI in a Day" (free), Enterprise DNA. - *SQL:* Mode SQL Tutorial (free), SQLBolt. - *India-specific:* TallyPrime documentation on exports and outstandings; practice on any SME's TB.

Certifications: Microsoft PL-300 (Power BI Data Analyst), CFI's FMVA (includes FP&A/dashboard modules), Tally certifications. None are mandatory — a **portfolio MIS pack** you built beats any certificate in an interview.

Quick-reference

Item	Formula / step
Map GL to bucket	`=XLOOKUP(Ledger, Map[L], Map[Bucket], "UNMAPPED")`
Actual by bucket	`=SUMIFS(Data[Amt], Data[Bucket], $A5, Data[Month], "Jun")`
Variance %	`=IFERROR(Actual/Budget-1,"")`
Ageing bucket	`=IFS(D≤30,"0-30",D≤60,"31-60",D≤90,"61-90",TRUE,"90+")`
Gross Margin %	Gross Profit / Revenue
EBITDA %	EBITDA / Revenue
DSO	(Receivables / Revenue) × Days
DPO	(Payables / Purchases) × Days
CCC	DSO + DIO − DPO
Tally TB export	Trial Balance → `Alt+E` → Excel
Tally AR ageing	Outstandings → Receivables → `Alt+E`
Control check	MIS PAT must tie to Tally TB; UNMAPPED count = 0
Delivery target	Working day 5-7, same template every month

Pack contents, in order: P&L (actual/budget/prior) → EBITDA bridge → cash position + 13-week flow → AR/AP ageing → KPI dashboard → commentary (5 bullets, each = variance + driver + action).

Working with Auditors

What it is & where it's used

Every company of any size gets audited. In India a statutory audit under the Companies Act, 2013 is mandatory for **every** company (private, public, one-person) regardless of turnover. On top of that a **tax audit** under Section 44AB of the Income-tax Act kicks in when business turnover crosses ₹1 crore (₹10 crore if cash receipts and payments are each ≤ 5%) or professional receipts cross ₹50 lakh. Add GST audit/reconciliation (GSTR-9C), internal audit, and — for listed or PE-backed firms — quarterly limited reviews and often a US-GAAP/IFRS group audit.

"Working with auditors" is the recurring job of the person who owns the books: the **accountant, finance executive, financial controller, or FP&A analyst**. You are the auditor's counterparty. You hand over the trial balance, build the supporting schedules, answer queries, produce documents from the **PBC list** (Prepared By Client), and defend your numbers. Do it well and the audit closes in three weeks with a clean report. Do it badly and it drags for three months, throws up adjustments that dent your P&L, and burns your reputation with management. This is a career skill that quietly separates a "junior who does entries" from a "controller who runs the close."

The gap: why companies want this (and college didn't teach it)

Your B.Com/MBA taught you *audit theory from the auditor's chair* — sampling, materiality, SA 500, assertions, the audit risk model. What no classroom teaches is the **auditee's craft**: how to keep books that survive scrutiny, how to build a schedule that ties to the GL to the paisa, how to respond to a query without opening ten new ones, and how to project-manage a team of CAs who are sitting in your office asking for the 47th document.

Employers feel this gap acutely because audit season is expensive. A messy auditee means overtime, delayed financials, delayed board meetings, and delayed loan renewals (banks want audited statements). When a hiring manager asks "*Have you handled audits?*" they mean: can you produce a fixed-asset register that reconciles to the GL, explain a variance without panicking, and close the audit on schedule? That skill is learned only by doing — which is exactly why it commands a premium.

What "proficient" looks like

A job-ready person can, unaided:

- Produce a **clean trial balance** that ties to the GL, with no suspense balances and no "misc" dumping grounds.
- Build every schedule on the standard PBC list from the accounting system, each **reconciling to the TB line** to zero.
- Anticipate the **common audit queries** and keep the backup ready *before* it's asked.
- Draft a **lead schedule** (a one-page summary per FS caption that rolls up to the number in the financial statements).
- Handle the **BRS, GST reconciliation (GSTR-1 vs 3B vs books), TDS reconciliation (26AS vs books), and inter-company reconciliation**.

- Respond to a query in writing with the entry, the document, and the rationale — closing it, not extending it.
- Run the audit as a **project**: a PBC tracker, a query log, and a status call cadence.

Hands-on: how to actually do it

1. Build an audit-ready trial balance

Export the TB from Tally/ERP, then sanity-check it. Two rules: **debits = credits**, and **no orphan/suspense balances**.

```
' TB balances?
=SUM(D2:D500)-SUM(E2:E500)          ' Dr total minus Cr total → must be 0

' Flag suspense / clearing accounts that should be nil at year-end
=IF(AND(ISNUMBER(SEARCH("suspense",A2)),ABS(F2)>0),"CLEAR ME","")
```

2. The lead schedule (ties GL → FS)

For each financial-statement line, a lead schedule groups the underlying ledgers. Use `SUMIFS` against your TB dump so it auto-ties:

```
' Trade Receivables lead = sum of all ledgers mapped to "Debtors"
=SUMIFS(TB[ClosingBal], TB[FSGroup], "Trade Receivables")

' Tie-out check against the balance sheet figure
=ROUND(SUMIFS(TB[ClosingBal],TB[FSGroup],"Trade Receivables")-BS_TradeReceivables,0)  ' must b
```

3. Debtors ageing (the #1 requested schedule)

```
' Bucket each invoice by days outstanding from invoice date
=LOOKUP((TODAY()-[@InvoiceDate]),{0,31,61,91,181},{"0-30","31-60","61-90","91-180",">180"})
```

If your data is in SQL, generate the ageing straight from the ledger:

```
SELECT customer,
       SUM(CASE WHEN dso <= 30 THEN amount ELSE 0 END) AS "0-30",
       SUM(CASE WHEN dso BETWEEN 31 AND 90 THEN amount ELSE 0 END) AS "31-90",
       SUM(CASE WHEN dso BETWEEN 91 AND 180 THEN amount ELSE 0 END) AS "91-180",
       SUM(CASE WHEN dso > 180 THEN amount ELSE 0 END) AS ">180"
FROM (SELECT customer, amount,
             DATEDIFF(CURRENT_DATE, invoice_date) AS dso
      FROM ar_open_items) t
GROUP BY customer
ORDER BY 5 DESC;
```

4. Bank reconciliation (auditors always vouch this)

```
import pandas as pd
books = pd.read_csv("bank_ledger.csv")     # your GL bank ledger
stmt  = pd.read_csv("bank_statement.csv")   # bank's statement

# Un-reconciled: entries in books not matched by (date, amount) in the statement
merged = books.merge(stmt, on=["value_date","amount"], how="left", indicator=True)
unpresented = merged[merged["_merge"]=="left_only"]      # cheques issued, not cleared
print("Book balance     :", books.amount.sum())
print("Un-reconciled amt:", unpresented.amount.sum())
```

5. GST reconciliation (GSTR-1 vs 3B vs books)

On the GST portal: **Login → Returns Dashboard → select FY → GSTR-9 → Download GSTR-1/3B summary (PDF/Excel)**. Then in Excel:

```
' Difference between books' output tax and GSTR-3B tax paid — should be ~0
=Books_OutputGST - GSTR3B_TaxPaid
```

6. TDS reconciliation (26AS / AIS vs books)

Download Form 26AS from the income-tax portal (**Login → e-File → Income Tax Returns → View Form 26AS → TRACES**). Match TDS credited per 26AS to TDS receivable in books; the delta usually means a customer deducted but didn't file, or a timing mismatch.

7. A typical audit adjustment (JV) you'll pass

When the auditor finds an unrecorded expense (say, ₹1,20,000 audit fee not provided for):

Account	Dr (₹)	Cr (₹)
Legal & Professional Charges (P&L)	1,20,000	
Provision for Audit Fees (Current Liab.)		1,20,000

Narration: Being provision for FY 2025-26 statutory audit fee not recorded, adjustment per audit.

Worked example / mini-project

Scenario: You're the accountant at *Nimbus Traders Pvt Ltd*, FY 2025-26. Turnover ₹8.4 crore. The statutory auditor's team arrives Monday. Build the audit file.

Step 1 — TB and lead schedules. Export the TB. It shows Trade Receivables ₹92,40,000. Your debtors ageing (built with the `SUMIFS` / `LOOKUP` above) sums to ₹92,40,000 — **it ties**. Good. The `>180 days` bucket is ₹6,10,000 across two customers.

Step 2 — Anticipate the query. The auditor will ask "*Is provision for doubtful debts needed on the ₹6.1 lakh?*" One customer (₹4,10,000) paid ₹4,00,000 in April 2026 — attach the bank credit as **subsequent-receipt evidence**, no provision needed. The other (₹2,00,000) is disputed — you provide 100%.

Account	Dr (₹)	Cr (₹)
Provision for Doubtful Debts (P&L)	2,00,000	
Allowance for Doubtful Debts (contra-asset)		2,00,000

Step 3 — Bank & GST. BRS shows ₹35,000 of unpresented cheques — documented. GSTR-3B tax paid = ₹14,90,000; books output GST = ₹15,02,000. Delta ₹12,000 → a March sales invoice was booked but reported in the April return. Note it in the reco; no adjustment needed (timing).

Step 4 — Fixed assets. FAR shows additions of ₹4,50,000 (a machine). Depreciation per Schedule II (WDV, useful life 15 yrs) for 9 months = you compute and tie to the depreciation ledger.

Step 5 — Deliverable. A single workbook: `Nimbus_Audit_FY26.xlsx` with tabs — *TB, Lead Schedules, Debtors Ageing, Creditors Ageing, BRS, GST Reco, TDS Reco, FAR, Query Log*. Every schedule footer ties to the FS to zero. That workbook *is* the difference between a 2-week and a 2-month audit.

How it's tested

Interview questions: - "Walk me through how you prepare for a statutory audit." (They want: PBC list → schedules → tie-outs → query handling.) - "What is a PBC list? Name 8 items on it." - "How do you reconcile GSTR-1, GSTR-3B and books? What causes differences?" - "A customer is 200 days overdue but paid after year-end. Do you provide for it?" (No — subsequent receipt is audit evidence.) - "What's the entry for an unrecorded expense the auditor finds?" - "Difference between statutory audit, tax audit, and internal audit?"

Practical/assessment tests: - A **timed Excel case**: given a raw TB dump and a ledger extract, build a debtors ageing and a lead schedule that ties — in 45 minutes. - A **"here's a messy BRS, reconcile it"** exercise with planted un-presented cheques and a bank charge not in books. - A **query-response drill**: they hand you five auditor queries and grade whether your written answers *close* them (entry + document + rationale) or invite follow-ups.

Common mistakes & how pros avoid them

Mistake	What pros do
Schedules don't tie to the TB	Every schedule footer has a `=schedule − TB line` cell that must show 0 before sending.
"Suspense" / "misc" ledgers with balances	Clear all suspense to nil before the audit; auditors treat suspense as a red flag.
Answering queries verbally	Maintain a **written query log**: query, response, document ref, status, owner, date.
Giving auditors raw system access with no map	Provide a clean export + a "where things are" index; control the narrative.
Passing adjustments only in the audit file, not in books	Post every agreed adjustment in the ERP so next year opens clean.
Re-doing schedules from scratch each request	Build **formula-driven** schedules off a single TB dump so a re-export refreshes everything.
Missing subsequent events	Review April–May bank statements and post-year-end invoices before finalising.

Learn-it roadmap & resources

Time to proficiency: ~2–3 months of focused effort, or one full audit cycle on the job.

Week	Focus
1	TB hygiene, lead schedules, tie-outs in Excel (SUMIFS, ROUND checks)
2	Debtors/creditors ageing, BRS, FAR + Schedule II depreciation
3	GST reco (GSTR-1/3B/2B/9C), TDS reco (26AS/AIS), inter-co
4	Build a full mock audit file end-to-end; run a query-log drill
5–8	Shadow a real audit; own the PBC tracker

Resources: - ICAI Standards on Auditing (free PDFs) — read SA 500 (evidence), SA 560 (subsequent events), SA 580 (representations) from the *auditee's* angle. - GST portal help + GSTR-9C reconciliation format (free, cbic-gst.gov.in). - TallyPrime "Audit & Compliance" and any ERP's standard schedules export. - **Certifications:** CA Intermediate (Audit paper) is the gold standard in India; for tooling, an advanced-Excel course pays off fastest.

Quick-reference

Standard PBC list (keep these ready):

#	Item
1	Trial balance + general ledger dump
2	Lead schedules per FS caption
3	Debtors & creditors ageing
4	Bank statements + BRS (all accounts)
5	Fixed-asset register + depreciation working
6	GST reco (GSTR-1/3B/2B, GSTR-9C)
7	TDS reco (26AS/AIS vs books) + challans
8	Inventory listing + valuation basis
9	Loan statements, sanction letters, interest working
10	Payroll register, PF/ESI/PT challans
11	Related-party transactions list
12	Board/AGM minutes, statutory registers

Key thresholds & checks:

Item	Value / Rule
Tax audit (Sec 44AB) — business	Turnover > ₹1 cr (₹10 cr if cash ≤ 5%)
Tax audit — profession	Receipts > ₹50 lakh
Statutory audit	All companies, no threshold
GSTR-9C reconciliation	Aggregate turnover > ₹5 cr
TB tie-out	Dr total − Cr total = 0
Schedule tie-out	`Schedule − FS line = 0`

Golden rules: tie every schedule to zero · clear all suspense · answer queries in writing with entry + document + rationale · post agreed adjustments in the ERP · review subsequent events before sign-off.

AP, AR & Fixed-Asset Registers

What it is & where it's used

Three sub-ledgers hang off every general ledger, and in a real accounts team they are usually three different desks:

- **Accounts Payable (AP)** — money you owe vendors. Governed by the **Purchase-to-Pay (P2P)** cycle: PR → PO → GRN → 3-way match → vendor invoice → payment.
- **Accounts Receivable (AR)** — money customers owe you. Governed by the **Order-to-Cash (O2C)** cycle: sales order → dispatch → invoice → collection → cash application.
- **Fixed-Asset Register (FAR)** — the list of every capitalised asset, its cost, location, and depreciation, feeding the depreciation schedule that hits P&L every month.

These are the entry-level and mid-level engine rooms of finance. **AP executive, AR / credit-control analyst, R2R (record-to-report) associate, fixed-asset accountant, and GL accountant** roles live here. In a Big-4 or GCC (Global Capability Centre) in Bengaluru/Hyderabad/Pune, "P2P analyst" and "O2C analyst" are literally two of the largest hiring pools. If you can run these three sub-ledgers and reconcile them to the GL, you are employable in accounts on day one.

The gap: why companies want this (and college didn't teach it)

College teaches you the *journal entry* for a purchase and the *formula* for depreciation. It never shows you:

- That an invoice **cannot be posted** until it three-way-matches a PO and a GRN — so 40% of an AP job is chasing mismatches, not posting.
- **Ageing** — the single most-watched AP/AR metric — and how a bucketed ageing report is built and read.
- That depreciation in practice is driven by a **register with hundreds of line items**, block-of-assets rules under the Income-tax Act, and Schedule II useful lives under the Companies Act — two *different* depreciation numbers on the same asset.
- **GST input tax credit (ITC)** blocking, **TDS** deduction on vendor payments, and **e-invoice / IRN** validation — India-specific gates that decide whether a payable is even legal to pay.

Employers pay for the person who can take a messy vendor ledger and produce a clean, reconciled, aged, tax-correct sub-ledger. That is a *process* skill, not a formula.

What "proficient" looks like

A job-ready person can, unaided:

1. Take a raw invoice register + PO register + GRN register and run a **3-way match** in Excel, flagging quantity/price/tax mismatches.
2. Build a **31/60/90/90+ ageing report** for AP or AR using formulas, and calculate **DSO / DPO**.
3. Post the full P2P and O2C journal entries **including GST and TDS**, and reconcile the sub-ledger control account to the GL.
4. Maintain a **fixed-asset register** and generate a **depreciation schedule** under both Companies Act Schedule II (SLM/WDV) and Income-tax block-WDV.

5. Do it in **TallyPrime** (India SME reality) and understand the same flow in an ERP (SAP FICO / Oracle / Zoho / NetSuite).

Hands-on: how to actually do it

1. Three-way match (Excel)

Given three sheets — `PO`, `GRN`, `Invoice`, keyed on PO number — pull PO and GRN data next to each invoice line:

```
=XLOOKUP([@PO_No], PO[PO_No], PO[PO_Qty], "PO missing")
=XLOOKUP([@PO_No], GRN[PO_No], GRN[Recv_Qty], "GRN missing")
```

Then a match-status flag:

```
=IF(AND([@Inv_Qty]≤[@GRN_Qty], ABS([@Inv_Rate]-[@PO_Rate])<0.01),
   "MATCH", "HOLD-"&TEXTJOIN("/",TRUE,
     IF([@Inv_Qty]>[@GRN_Qty],"QTY",""),
     IF(ABS([@Inv_Rate]-[@PO_Rate])≥0.01,"PRICE","")))
```

Anything not `MATCH` goes on hold — you do not pay it.

2. Ageing report (Excel)

With an invoice `Due_Date` and a snapshot `AsOf` date:

```
=IF([@Balance]=0,"", $AsOf - [@Due_Date])        // days overdue
```

Bucket it:

```
=IFS([@Days]≤0,"Not due",[@Days]≤30,"0-30",
     [@Days]≤60,"31-60",[@Days]≤90,"61-90",TRUE,"90+")
```

Summarise the outstanding by bucket per party:

```
=SUMIFS(Inv[Balance], Inv[Party],[@Party], Inv[Bucket],"90+")
```

DSO (days sales outstanding) and **DPO**:

```
DSO = (Total AR / Credit Sales in period) * Days in period
DPO = (Total AP / Credit Purchases in period) * Days in period
```

3. Ageing / register in SQL

```
SELECT party_name,
  SUM(CASE WHEN days<=30            THEN balance END) AS d0_30,
  SUM(CASE WHEN days BETWEEN 31 AND 60 THEN balance END) AS d31_60,
  SUM(CASE WHEN days BETWEEN 61 AND 90 THEN balance END) AS d61_90,
  SUM(CASE WHEN days>90             THEN balance END) AS d90_plus,
  SUM(balance) AS total_due
FROM (
  SELECT party_name, balance,
         DATEDIFF(CURRENT_DATE, due_date) AS days
  FROM ar_open_items WHERE balance <> 0
) t
GROUP BY party_name
ORDER BY total_due DESC;
```

4. Depreciation schedule in Python

```
import pandas as pd
far = pd.DataFrame({
    "asset":["Laptop-01","Plant-A","Delivery Van"],
    "cost":[80000, 2500000, 900000],
    "life_yrs":[3, 15, 8],          # Schedule II useful life
    "method":["SLM","WDV","WDV"]})

def dep(row):
    if row.method == "SLM":
        return round(row.cost / row.life_yrs, 2)          # no residual for simplicity
    rate = 1 - (0.05) ** (1/row.life_yrs)                  # WDV rate, 5% residual
    return round(row.cost * rate, 2)

far["annual_dep"] = far.apply(dep, axis=1)
print(far)
```

The WDV rate formula is the same one Schedule II implies: `rate = 1 - (residual/cost)^(1/life)`.

5. Journal entries (India, with GST & TDS)

Purchase of ₹1,00,000 goods + 18% GST, TDS 194C @1% on a contractor bill:

Account	Dr	Cr
Purchases / Expense A/c	1,00,000	
Input CGST @9%	9,000	
Input SGST @9%	9,000	
To Vendor A/c		1,17,000

On payment with TDS ₹1,000:

Account	Dr	Cr
Vendor A/c	1,17,000	
To TDS Payable (194C)		1,000
To Bank		1,16,000

Sale of ₹2,00,000 + 18% IGST (interstate):

Account	Dr	Cr
Customer A/c	2,36,000	
To Sales A/c		2,00,000
To Output IGST		36,000

Capitalising the ₹9,00,000 van + monthly depreciation:

Account	Dr	Cr
Fixed Asset – Vehicles	9,00,000	
Input CGST/SGST	81,000	
To Vendor		9,81,000
Depreciation A/c (monthly)	9,375	
To Accumulated Depreciation		9,375

6. TallyPrime click-path

- **P2P:** Gateway → Vouchers → F9 Purchase → select party → stock item → GST auto-computes from ledger rates. For 3-way in Tally: enable *Purchase Order* (F11 → Enable PO) → Order → Receipt Note (GRN) → Purchase against them.
- **AR ageing:** Gateway → Display More Reports → Statements of Accounts → Ageing Analysis → set bucket ranges (0-30/31-60/...).
- **FAR:** create asset ledger under *Fixed Assets* group; book depreciation via Journal (F7) at month-end.

Worked example / mini-project

Reproduce this. A trading firm, month of June 2026.

Vendor open items as on 30-Jun-2026:

Vendor	Invoice	Inv Date	Due Date	Amount (₹)
Sharma Traders	P-101	05-Apr	05-May	1,20,000
Sharma Traders	P-140	20-May	19-Jun	80,000
Global Supply	P-155	02-Jun	02-Jul	2,50,000

Ageing as on 30-Jun: P-101 is 56 days overdue → **31-60**; P-140 is 11 days → **0-30**; P-155 not yet due. AP ageing:

Vendor	0-30	31-60	Not due	Total
Sharma Traders	80,000	1,20,000	–	2,00,000
Global Supply	–	–	2,50,000	2,50,000

DPO if June credit purchases were ₹15,00,000: `(4,50,000 / 15,00,000) × 30 = 9 days`.

Fixed asset added 15-Jun-2026: Plant ₹12,00,000, Schedule II life 15 yrs, SLM, 5% residual. - Annual dep = (12,00,000 − 60,000) / 15 = ₹76,000. - June (pro-rata 16 days of 30) = 76,000 × 16/365 ≈ **₹3,331**. - Income-tax side: Plant & Machinery block, WDV @15%. Since put to use < 180 days in FY, **half depreciation** = 12,00,000 × 15% × ½ = ₹90,000 for the year. Two different numbers — that's the point.

Build the ageing sheet with the formulas above and tie the sub-ledger total (₹4,50,000) back to the AP control account in the GL. If it doesn't tie, you have an unposted invoice or a duplicate.

How it's tested

- **Timed Excel test (30–45 min):** "Here's an invoice dump and a PO dump — build an ageing report and flag mismatches." They want XLOOKUP/SUMIFS/IFS, a pivot, and correct buckets.
- **SQL screen:** write the ageing CASE-WHEN query; compute DSO.
- **Case / "close these books":** given trial balance + a list of pending items, post accruals, book depreciation, reconcile AP/AR sub-ledger to GL.
- **Interview questions:** "Walk me through P2P." "What is a 3-way match and why?" "GRN posted, invoice not received at month-end — what entry?" (Answer: **GR/IR / goods-received-not-invoiced accrual**.) "Difference between Companies Act and Income-tax depreciation?" "How do you treat capital WIP?" "What is DSO and how do you reduce it?" "Blocked ITC under GST — give examples."

Common mistakes & how pros avoid them

- **Paying an unmatched invoice.** Pros never release payment on a HOLD line; the match is the control.
- **Expensing a capital item** (or capitalising a repair). Rule of thumb: if it extends life or capacity → capitalise.
- **One depreciation number.** Pros keep the **Companies Act book and the Income-tax block-WDV in parallel**, and reconcile the deferred-tax difference.
- **Ignoring GR/IR at close.** Received-not-invoiced and invoiced-not-received both need accruals or the P&L is wrong.

- **Claiming blocked ITC** (motor vehicles, personal use, works contract) — reverses later with interest.
- **Ageing off invoice date, not due date.** Overdue is measured from the *due* date.
- **Sub-ledger not tied to GL.** Always reconcile the control account monthly — the number employers trust is the reconciled one.

Learn-it roadmap & resources

Stage	Time	Do this
Excel for AP/AR	1 wk	XLOOKUP, SUMIFS, IFS, pivots on a sample ledger
P2P & O2C process	1 wk	Map both cycles end-to-end; learn GR/IR, 3-way match
TallyPrime	2 wks	Book purchases/sales with GST, PO/GRN, ageing, FAR
GST + TDS + Depreciation	2 wks	ITC rules, TDS sections (194C/194J/194Q), Schedule II vs blocks
ERP exposure	ongoing	SAP FICO or Oracle basics; free NetSuite/Zoho trials

Resources: ICAI study material (Accounting + Taxation) — you already have it; TallyPrime free educational mode; GSTN portal help; SAP FICO intro on Udemy; the *Corporate Finance Institute* AP/AR primers. **Certifications:** Tally certification, SAP FICO, or a GCC's internal R2R/P2P badge. Realistic time to job-ready: **6–8 weeks** of focused practice.

Quick-reference

Item	Key thing
P2P order	PR → PO → GRN → 3-way match → invoice → pay
O2C order	SO → dispatch → invoice → collect → cash apply
3-way match	PO ≈ GRN ≈ Invoice (qty & price)
Ageing buckets	0-30 / 31-60 / 61-90 / 90+ from **due date**
DSO	AR ÷ Credit Sales × Days
DPO	AP ÷ Credit Purchases × Days
Accrual at close	GR/IR (goods recd not invoiced)
SLM dep	(Cost − Residual) ÷ Life
WDV rate	1 − (Residual/Cost)^(1/Life)
IT depreciation	Block WDV; ½ rate if used <180 days
TDS sections	194C (contract 1/2%), 194J (prof 10%), 194Q (purchase 0.1%)
Blocked ITC	Motor vehicles, personal, works contract
Excel core	`XLOOKUP`, `SUMIFS`, `IFS`, `DATEDIF`, PivotTable

Master these three sub-ledgers and their reconciliations, and you can walk into any AP/AR/R2R desk in an Indian GCC or SME and be productive in a week.

The accounting/controllership interview & practical test

What it is & where it's used

Every accounts, finance, tax, audit and controllership role in India ends with two filters: a **structured interview** (technical + situational) and a **practical test** — a timed hands-on assessment where you actually pass entries, build a reconciliation, or "close the books" on a mock trial balance. This is standard at Big 4 (Deloitte, PwC, EY, KPMG), captive GCCs (JPMorgan, Amazon, Genpact, Accenture), mid-market CFO teams, and startups hiring an R2R (Record-to-Report), AP/AR, or GL accountant.

The interview tests whether you *understand* debit-credit logic, accruals, and month-end. The practical test verifies you can *execute* it in Excel and Tally/SAP under time pressure. Roles that hit this: GL Accountant, R2R Analyst, AP/AR Executive, Financial Analyst, Assistant Manager–Finance, Tax Associate, and Audit Associate.

The gap: why companies want this (and college didn't teach it)

An MBA or CA-Inter teaches you *why* a provision is created and how AS/Ind AS classifies it. It rarely makes you sit down and **book 40 entries against a bank statement in 45 minutes** or explain why a suspense account won't clear. Colleges grade theory papers; employers pay for a clean, tied-out trial balance by Working Day 3 (WD+3).

The specific gaps this chapter closes:

- **Speed + accuracy on entries** — knowing the entry vs. keying it correctly with the right sign, ledger, and cost centre.
- **Reconciliation muscle** — bank recon, GSTR-2B vs. books, AP/AR sub-ledger vs. GL, intercompany.
- **Month-end sequencing** — you can't accrue before you cut off; you can't close before recons pass.
- **Explaining the "why"** — interviewers probe "*why did you debit that?*" College never made you defend an entry out loud.

What "proficient" looks like

A job-ready candidate can, unaided:

1. Pass any routine entry (accrual, prepaid, depreciation, provision, forex, TDS, GST) with correct Dr/Cr, narration, and cost centre.
2. Build a **bank reconciliation** from a statement + cashbook and explain every reconciling item.
3. Reconcile **GSTR-2B to purchase register** and quantify ITC to claim/hold.
4. Take an **unadjusted trial balance → post adjusting entries → produce an adjusted TB → P&L and Balance Sheet** that balances.
5. Explain the **month-end close calendar** (WD-2 to WD+5) and what happens each day.
6. Answer "*accruals vs. provisions,*" "*deferred revenue,*" "*why does depreciation hit P&L but not cash*" crisply.

Hands-on: how to actually do it

The entries they will ask you to pass

Scenario	Journal Entry (Dr / Cr)
Accrue Dec electricity bill Rs.50,000 not yet received	Dr Electricity Expense 50,000 / Cr Outstanding Expenses (Accrued Liab) 50,000
Prepaid insurance Rs.1,20,000 for 12 months, book monthly	On payment: Dr Prepaid Insurance 1,20,000 / Cr Bank 1,20,000. Monthly: Dr Insurance Exp 10,000 / Cr Prepaid Insurance 10,000
Depreciation on machinery (WDV) Rs.80,000	Dr Depreciation 80,000 / Cr Accumulated Depreciation 80,000
Provision for doubtful debts Rs.25,000	Dr Bad Debt Provision (P&L) 25,000 / Cr Provision for Doubtful Debts 25,000
Salary Rs.5,00,000, TDS u/s 192 Rs.40,000, PF Rs.30,000	Dr Salaries 5,00,000 / Cr TDS Payable 40,000 / Cr PF Payable 30,000 / Cr Salary Payable 4,30,000
Purchase Rs.1,00,000 + 18% GST from registered vendor	Dr Purchases 1,00,000 / Dr Input CGST 9,000 / Dr Input SGST 9,000 / Cr Vendor 1,18,000
Vendor invoice, TDS 194J @10% on Rs.1,00,000	Dr Professional Fees 1,00,000 / Cr TDS Payable 10,000 / Cr Vendor 90,000
Deferred revenue: received Rs.1,20,000 annual SaaS upfront	On receipt: Dr Bank 1,20,000 / Cr Deferred Revenue 1,20,000. Monthly: Dr Deferred Revenue 10,000 / Cr Revenue 10,000
Forex payable USD 10,000 @ 83 booked, settled @ 85	Dr Import Purchase 8,30,000 / Cr Vendor 8,30,000. On settlement: Dr Vendor 8,30,000 / Dr Forex Loss 20,000 / Cr Bank 8,50,000

Golden rule to recite: **Debit what comes in / expenses & assets; Credit what goes out / income & liabilities.** Modern form: *assets & expenses increase on debit; liabilities, equity & income increase on credit.*

Bank reconciliation in Excel

Match cashbook to bank statement. Flag unmatched items:

```
=IF(COUNTIFS(Bank[Amt],[@Amt],Bank[Date],[@Date])>0,"Matched","Open")
```

Reconciliation math:

```
Balance as per Cashbook               1,00,000
Add: Cheques issued not yet presented   +15,000
Less: Cheques deposited not yet cleared  -8,000
Less: Bank charges not in books          -1,200
Add: Interest credited not in books      +2,000
= Balance as per Bank Statement        1,07,800
```

GSTR-2B vs. purchase register (ITC reconciliation)

```
Books ITC per invoice   :  =SUMIFS(PR[GST],PR[GSTIN],[@GSTIN],PR[Inv],[@Inv])
2B ITC per invoice      :  =SUMIFS(GSTR2B[GST],GSTR2B[GSTIN],[@GSTIN],GSTR2B[Inv],[@Inv])
Status                  :  =IF(ROUND(Books-2B,0)=0,"OK",IF(Books>2B,"Not in 2B - HOLD ITC","Ve
```

Only ITC appearing in 2B is claimable — books-only invoices get held.

Post adjusting entries to a trial balance with SQL

```
-- Adjusted trial balance from a journal_lines table
SELECT a.account_name,
       SUM(jl.debit)  AS total_dr,
       SUM(jl.credit) AS total_cr,
       SUM(jl.debit - jl.credit) AS net
FROM journal_lines jl
JOIN accounts a ON a.id = jl.account_id
WHERE jl.period = '2026-03'
GROUP BY a.account_name
ORDER BY a.account_name;

-- Sanity check: total debits MUST equal total credits
SELECT SUM(debit) AS dr, SUM(credit) AS cr,
       SUM(debit) - SUM(credit) AS diff
FROM journal_lines WHERE period = '2026-03';   -- diff must be 0
```

Tally / GST portal click-paths

- **Pass a journal in TallyPrime:** Gateway of Tally → Vouchers → press **F7** (Journal) → Dr ledger → amount → Cr ledger → amount → narration → **Ctrl+A** to save.
- **Bank recon in Tally:** Banking → Bank Reconciliation → select bank ledger → enter "Bank Date" against each voucher → unreconciled balance shows at bottom.
- **Download GSTR-2B:** gst.gov.in → login → Returns Dashboard → select period → **GSTR-2B** → Download (Excel).

Worked example / mini-project — "Close these books" (Rs.)

You get this unadjusted trial balance for **Meghna Traders Pvt Ltd, March 2026**:

Ledger	Dr	Cr
Cash & Bank	4,50,000	
Debtors	6,00,000	
Machinery	10,00,000	
Purchases	25,00,000	
Salaries	8,00,000	
Sales		42,00,000
Creditors		5,50,000
Share Capital		8,00,000
Rent	1,50,000	
Total	**55,50,000**	**55,50,000**

Adjustments to book (WD+2):

1. Depreciation @10% on machinery → Dr Depreciation 1,00,000 / Cr Accum. Dep 1,00,000
2. Salary for March Rs.72,000 unpaid → Dr Salaries 72,000 / Cr Salary Payable 72,000
3. Rent Rs.30,000 prepaid (Apr) → Dr Prepaid Rent 30,000 / Cr Rent 30,000
4. Provision for doubtful debts @2% of debtors → Dr Bad Debt Prov 12,000 / Cr Provision 12,000

Adjusted P&L:

Item	Rs.
Sales	42,00,000
Less: Purchases	(25,00,000)
Less: Salaries (8,00,000+72,000)	(8,72,000)
Less: Rent (1,50,000−30,000)	(1,20,000)
Less: Depreciation	(1,00,000)
Less: Bad debt provision	(12,000)
Net Profit	**5,96,000**

Balance Sheet ties: Equity 8,00,000 + Profit 5,96,000 = 13,96,000; Liabilities = Creditors 5,50,000 + Salary Payable 72,000 + Provision 12,000 + Accum Dep 1,00,000. Assets = Bank 4,50,000 + Debtors 6,00,000 + Machinery 10,00,000 + Prepaid Rent 30,000. **Both sides = 20,80,000.** Books closed.

How it's tested

Interview questions (rapid-fire): - Difference between accrual and provision? (Accrual = known amount, incurred; provision = estimated liability.) - Deferred revenue — asset or liability, and why? (Liability — you owe service.) - Why does depreciation reduce profit but not cash? (Non-cash allocation of past capex.) - Three golden rules / modern accounting equation. - What is a contra entry? A suspense account? Why would a TB not tie? - Walk me through your month-end close. - Prepaid vs. outstanding expense — where does each sit on the balance sheet?

Practical assessments companies actually give: - **Timed Excel test (30–45 min):** given a bank statement + cashbook, build the BRR; or given raw data, use SUMIFS/VLOOKUP/pivot to produce a summary. - **"Pass these entries":** 8–12 scenarios on paper or in Tally, graded on Dr/Cr, amount, and narration. - **"Close these books" case** (like the worked example above): unadjusted TB + adjustments → adjusted TB + financials. - **Recon screen:** GSTR-2B vs. purchase register or AP sub-ledger vs. GL; quantify and explain the gap. - **SQL/BI screen** (GCC/analyst roles): write a GROUP BY to produce a TB or aging.

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Reversing Dr/Cr on accruals/provisions	Say the entry aloud: "expense up = debit; liability up = credit."
Forgetting the reversal in next period	Book accruals as auto-reversing (JV type in ERP).
Claiming full ITC ignoring 2B	Claim only 2B-matched ITC; park the rest in "ITC on hold."
TB doesn't tie, chasing randomly	Diff ÷ 2 = a wrong-sign posting; diff ÷ 9 = transposition.
Netting TDS wrong on vendor payment	TDS credited to *payable*, not netted into expense.
No narration / no cost centre	Every entry needs a narration + dimension; auditors reject blanks.
Closing before recons pass	Recons are a *gate*, not a *report* — fix breaks first.

Learn-it roadmap & resources

Phase	Time	Focus
1	1 week	Drill 50 journal entries until reflexive; recite golden rules.
2	1 week	Bank recon + GST recon in Excel (SUMIFS, XLOOKUP, pivots).
3	1 week	Full close cycle: unadjusted TB → adjustments → financials.
4	Ongoing	Mock interviews; explain every entry out loud.

Resources: ICAI Accounting/Cost study material (free); TallyPrime education mode (free); GST portal help section; Zoho Books / QuickBooks free trials for close practice; ExcelJet for lookup/SUMIFS; NISM & ICAI for credibility. Certifications that signal readiness: **CA Inter**, **Tally Certification**, Microsoft **Excel Associate (MO-201)**, and any GCC-run R2R bootcamp.

Time to practical proficiency: **3–4 focused weeks** if you already know the theory — the bottleneck is speed, not concepts.

Quick-reference

Item	Rule / Formula
Modern rule	Assets & Expenses ↑ = Dr; Liab, Equity & Income ↑ = Cr
Accrual entry	Dr Expense / Cr Outstanding Liability
Prepaid entry	Dr Prepaid Asset / Cr Bank; then Dr Expense / Cr Prepaid
Deferred revenue	Dr Bank / Cr Deferred Rev; then Dr Deferred Rev / Cr Revenue
Depreciation	Dr Depreciation / Cr Accumulated Depreciation
GST purchase	Dr Purchase + Dr Input CGST + Dr Input SGST / Cr Vendor
TDS on payment	Dr Expense / Cr TDS Payable / Cr Vendor (net)
BRR direction	Cashbook + unpresented cheques − uncleared deposits ± bank items = Bank
TB won't tie	Diff÷2 = sign error; Diff÷9 = transposition
ITC test	Claim only GSTR-2B-matched invoices
Close calendar	WD-2 cutoff → WD+1 accruals → WD+2 recons → WD+3 TB → WD+5 report
Tally journal	F7 → Dr / Cr → narration → Ctrl+A
Adjusted TB (SQL)	`SELECT account, SUM(debit-credit) GROUP BY account` (diff must be 0)

Cheat-sheet: entries, close checklist & shortcuts

What it is & where it's used

This chapter is the laminated card you tape to your monitor. It collects the journal entries you post 50 times a month, the month-end close checklist that stops you forgetting the depreciation run, and the keyboard shortcuts that separate a 4-hour close from a 40-minute one in TallyPrime and SAP.

Every accounts, tax, and FP&A role touches this:

Role	Uses this for
Accounts Payable/Receivable exec	Repeatable vendor/customer entries, TDS, GST
GL / R2R accountant	Month-end close, accruals, provisions, reconciliations
Tax executive	GST output/input, RCM, TDS entries
FP&A analyst	Reading the TB fast, month-over-month checks
Startup finance / founder's office	Owning the whole close solo in Tally/Zoho

The value is speed with accuracy. Nobody promotes the person who *knows* the accrual entry; they promote the one who posts all 40 of them correctly before the 3rd working day.

The gap: why companies want this (and college didn't teach it)

College teaches you the *logic* of double-entry — "debit the receiver." It never makes you post 200 entries under a deadline, never shows you a real month-end close calendar, and never times you on Tally. The industry gap is muscle memory plus process:

- **Volume & repetition:** Real jobs are the same 25 entry-types, endlessly. You must post them without thinking.
- **The close is a *process*, not an entry:** Books don't just "close" — someone runs a 30-line checklist in a fixed order (accruals before depreciation before tax before TB freeze).
- **Tool fluency:** An MBA never opens Tally. Employers assume you can do `Alt+G > Voucher`, `Ctrl+A` to save, and F-key navigation blind.
- **Statutory muscle:** TDS sections, GST heads (CGST/SGST/IGST), RCM — these are daily entries, not exam theory.

Close this gap and you are useful on day one instead of day ninety.

What "proficient" looks like

A job-ready person can, unaided:

- Post any of the 25 common entries correctly with the right TDS section / GST head.
- Run a full month-end close against a checklist and produce a clean trial balance.
- Navigate TallyPrime entirely by keyboard, and do basic SAP FI transactions (FB50, F-02, FBL3N).
- Explain *why* an accrual reverses next month and *why* prepaid sits as an asset.

- Spot a suspense-account balance or a mismatched control account and fix it before the manager sees it.

Hands-on: how to actually do it

1. The 25 entries you post constantly

#	Transaction	Dr	Cr
1	Credit purchase of goods	Purchases + Input CGST + Input SGST	Creditor (Vendor)
2	Credit sale of goods	Debtor (Customer)	Sales + Output CGST + Output SGST
3	Interstate sale	Debtor	Sales + Output IGST
4	Payment to vendor	Creditor	Bank
5	Receipt from customer	Bank	Debtor
6	Professional fee bill (TDS 194J @10%)	Professional Fees	Vendor; TDS Payable (194J)
7	Rent paid (TDS 194I @10%)	Rent	Bank; TDS Payable (194I)
8	Contractor bill (TDS 194C @2%)	Contract Exp	Vendor; TDS Payable (194C)
9	Salary paid	Salaries	Bank; TDS Payable (192); PF Payable; ESI Payable
10	Depreciation	Depreciation	Accumulated Depreciation
11	Expense accrual (month-end)	Expense	Accrued/Outstanding Expenses
12	Reversal of accrual (next month)	Accrued Expenses	Expense
13	Prepaid at payment	Prepaid Expense	Bank
14	Prepaid amortisation	Expense	Prepaid Expense
15	Provision for doubtful debts	Bad Debt Expense	Provision for Doubtful Debts
16	Bank charges	Bank Charges	Bank
17	Interest accrued on FD	Accrued Interest	Interest Income
18	RCM on freight/GTA	Input IGST (RCM)	RCM Payable
19	GST payment (setoff)	Output CGST/SGST/IGST	Input GST + Electronic Cash Ledger
20	TDS deposit	TDS Payable	Bank
21	Purchase of fixed asset	Fixed Asset + Input GST	Vendor/Bank
22	Cash withdrawal (contra)	Cash	Bank
23	Owner capital introduced	Bank	Capital
24	Forex gain/loss on settlement	Debtor/Bank (loss: Forex Loss)	Forex Gain / Debtor
25	Year-end P&L transfer	Sales/Income	Trading & P&L

2. TallyPrime keyboard shortcuts (v3.x)

```
Alt+G      Go To (jump to any report/voucher)
F1         Help / switch company
Ctrl+A     Accept & save the current screen (the money shortcut)
Ctrl+Q     Quit without saving
F4         Contra        F5  Payment      F6  Receipt
F7         Journal       F8  Sales        F9  Purchase
Alt+F7     Stock Journal
Ctrl+F9    Debit Note    Ctrl+F8  Credit Note
Alt+C      Create master on the fly (ledger/item)
Alt+D      Delete voucher / line
Alt+X      Cancel voucher
Alt+2      Duplicate a voucher (from Day Book)
Ctrl+Enter Drill into / edit a master mid-entry
Alt+F1     Detailed view in reports
F2         Change period      Alt+F2  Change period range
F12        Configure current screen
D (Gateway)Day Book
```

3. SAP FI T-codes you must know

```
FB50    Enter G/L account document (fast entry)
F-02    General posting (with posting keys 40 Dr / 50 Cr)
FB60    Vendor invoice        FB70   Customer invoice
F-53    Outgoing payment      F-28   Incoming payment
FBL1N   Vendor line items     FBL5N  Customer line items
FBL3N   G/L account line items
FS10N   G/L balance display
F.01    Financial statements   S_ALR_87012277  GL balances report
FB08    Reverse a document     F-44   Vendor clearing
```

4. The month-end close checklist (order matters)

```
[ ] 1.  Cut-off: all invoices/bills for the month entered
[ ] 2.  Bank reconciliation — every account tied to statement
[ ] 3.  Cash count vs cash ledger
[ ] 4.  AR ageing reviewed; AP ageing reviewed
[ ] 5.  Accruals for unbilled expenses posted
[ ] 6.  Prepaid amortisation for the month posted
[ ] 7.  Depreciation run
[ ] 8.  Inventory valuation / stock reconciliation
[ ] 9.  Inter-company & control account reconciliation
[ ] 10. Provisions (doubtful debts, bonus, gratuity) reviewed
[ ] 11. GST: GSTR-2B vs books input reco; output liability tied out
[ ] 12. TDS: deducted vs payable reconciled, challan ready
[ ] 13. Payroll reconciled (salary, PF, ESI, PT)
[ ] 14. Suspense account = ZERO
[ ] 15. Trial balance drawn; P&L and BS reviewed vs last month
[ ] 16. Variance/flux commentary for FP&A
[ ] 17. Lock/freeze the period
```

Worked example / mini-project

Reproduce a mini month-end for **Nova Traders Pvt Ltd** (Karnataka), month of June.

Transactions during June:

1. Credit sale to a Karnataka customer, ₹1,00,000 + 18% GST.

```
Dr  Debtors — Sharma & Co        1,18,000
    Cr  Sales                        1,00,000
    Cr  Output CGST (9%)                 9,000
    Cr  Output SGST (9%)                 9,000
```

2. Professional fee bill from an auditor ₹50,000, TDS 194J @10%.

```
Dr  Professional Fees             50,000
    Cr  ABC & Associates (net)         45,000
    Cr  TDS Payable — 194J              5,000
```

Month-end adjustments (close checklist steps 5–7):

3. Electricity bill for June not yet received, estimated ₹12,000 (accrual):

```
Dr  Electricity Expense           12,000
    Cr  Outstanding Expenses           12,000
```

4. Insurance ₹24,000 paid 1-June for the year → ₹2,000/month amortisation:

```
Dr  Insurance Expense               2,000
    Cr  Prepaid Insurance                2,000
```

5. Depreciation on equipment (WDV ₹6,00,000 @ 15% p.a. = ₹7,500/month):

```
Dr  Depreciation                    7,500
    Cr  Accumulated Depreciation         7,500
```

GST tie-out (step 11): Output = ₹18,000. Suppose Input from GSTR-2B = ₹6,300. Net payable in cash = ₹11,700.

```
Dr  Output CGST                     9,000
Dr  Output SGST                     9,000
    Cr  Input CGST/SGST                   6,300
    Cr  Electronic Cash Ledger           11,700
```

Quick TB sanity check in Excel — paste ledger balances, then verify it balances:

```
=IF(ROUND(SUM(Debit)-SUM(Credit),2)=0,"BALANCED","OUT BY "&SUM(Debit)-SUM(Credit))
```

Month-over-month flux for FP&A commentary:

```
=IFERROR((Jun-May)/May, "n/a")   ' format as %; flag any line moving >10%
```

In Tally: `Alt+G > Trial Balance > Alt+F1` (detailed) confirms suspense = 0 and totals match.

How it's tested

Interview questions:

- "Pass the entry for a professional fee bill of ₹50,000 with TDS." (they want section + net vendor amount)
- "What reverses at the start of next month and why?" (accruals)
- "Walk me through your month-end close, in order."
- "CGST vs IGST — when do you charge which?"
- "Where does a prepaid expense sit and why is it an asset?"

Practical assessments companies actually give:

- **Timed Tally test:** "Here are 15 vouchers — enter them in 20 minutes and produce the TB." Graded on speed, correct heads, and a zero suspense.
- **"Close these books" case:** a messy trial balance with missing accruals/depreciation; you must clean it and explain adjustments.
- **Excel screen:** bank reconciliation from two datasets, or a TB that won't balance — find the plug.

- **SAP navigation:** "Post a vendor invoice in FB60 and display it in FBL1N."

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Forgetting to reverse last month's accrual → double-count	Post accrual + reversal as a *pair* immediately; or use auto-reversing journals
Wrong GST head (CGST/SGST vs IGST)	Rule: same state = C+S, different state = I. Check place of supply, not billing address
Ignoring suspense account balance	Suspense must be ZERO before freezing — it's the first thing a reviewer checks
TDS on gross vs net confusion	TDS is on the base amount; vendor gets base − TDS; deposit TDS by the 7th
Closing before bank reco	Bank reco is step 2, not optional. Unreconciled = books not closed
Editing a posted voucher instead of reversing	In SAP use FB08; keep an audit trail — never silently overwrite
Skipping cut-off	An invoice dated 30-June entered in July inflates next month. Enforce a hard cut-off date

Learn-it roadmap & resources

Time to proficiency: 6–10 weeks of daily practice to be job-ready on entries + close; Tally fluency in ~3 weeks of real use.

Week	Focus
1–2	Master the 25 entries cold; drill TDS sections & GST heads
3–4	TallyPrime end-to-end: masters, vouchers, GST, reports — by keyboard only
5–6	Run a full mock month-end close against the checklist
7–8	Bank reco + GSTR-2B reco in Excel; TB troubleshooting
9–10	SAP FI basics (if targeting large corporates)

Resources:

- **Tally**: TallyPrime free educational version + Tally Education's official "TallyEssential" certification (paid, recognised in India).
- **GST/TDS**: CBIC and Income-tax portal help sections; ICAI study material (free, you already have it).
- **SAP FI**: free openSAP courses; any SAP FICO end-user PDF for T-code drills.
- **Excel/recons**: practise with a downloaded bank statement + ledger dump.
- **Certifications worth it in India:** TallyEssential/TallyProfessional; add SAP FICO only if targeting MNC ERP roles.

Quick-reference

GST rule: same state → CGST + SGST; different state → IGST. Setoff order: IGST first, then CGST/SGST.

Statutory	Rate / Section	Due
TDS Professional	194J @ 10%	7th next month
TDS Rent (land/bldg)	194I @ 10%	7th
TDS Contractor	194C @ 1%/2%	7th
TDS Salary	192 (slab)	7th
GST return	GSTR-1 / 3B	11th / 20th
PF / ESI	—	15th

Tally survival keys: `Alt+G` go-to · `Ctrl+A` save · `F5` payment · `F6` receipt · `F7` journal · `F8` sales · `F9` purchase · `Alt+C` create master · `Alt+2` duplicate.

SAP survival codes: `FB50` GL post · `FB60` vendor invoice · `FBL3N` GL line items · `FS10N` balance · `FB08` reverse.

Close order: cut-off → bank reco → AR/AP → accruals → prepaids → depreciation → inventory → provisions → GST/TDS/payroll → suspense=0 → TB → freeze.

Excel balance check: `=IF(ROUND(SUM(Debit)-SUM(Credit),2)=0,"BALANCED","OUT")`